

Project Y

Diligence+ example VDD report

—

[] 2023

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KPMG [legal name]
[Address line 1]
[Address line 2]

Private and confidential

The Directors [date]
Purchaser Party
(as defined in the engagement letter dated [date] attached in the appendices)

Dear Directors

Project Y

In accordance with the terms of reference set out in our engagement letter dated [date] [as modified by our variation letter dated [date]] (“Engagement Letter”), we enclose [a copy of our financial and tax due diligence report (“report”) on [Target name] (“Target”)/our [addendum]/[update] report on [Target Limited] (“Target”) (the ‘report’). The report should be read together with our confidential report on Target dated [] (the ‘Initial report’).] The Engagement Letter attached in the appendices to this report sets out the agreed scope of our enquiries as agreed with [Vendor].

Our work [on our [addendum]/[update] report commenced on [date] and our fieldwork was completed on [date]. We have not undertaken to update our report for events or circumstances arising after that date.

The contents of our report have been reviewed in detail by the directors of [Company/Target] who have confirmed in writing the factual accuracy of this report.

We draw your attention to the following documents in the appendices which set out the basis and limitations of our work: / We draw your attention to the Important Notice in the appendices of each volume and the Basis of Preparation and Scope of Work in the appendices of Volume 1 which set out the basis and limitations of our work:

Important notice



Basis of preparation



Scope of work



You should note that our findings do not constitute recommendations to you as to whether or not you should proceed with the proposed transaction.

Our report is for the benefit and information only of those Purchaser Parties who have accepted the terms and conditions of our Engagement Letter and should not be copied, referred to or disclosed, in whole or in part, without our prior written consent, except as specifically permitted in our Engagement Letter. To the fullest extent permitted by law, we will not accept responsibility or liability to any other party (including those Purchaser Parties’ legal and other professional advisers) in respect of our work or the report.

Yours faithfully

KPMG [legal name]



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Executive summary

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Business overview

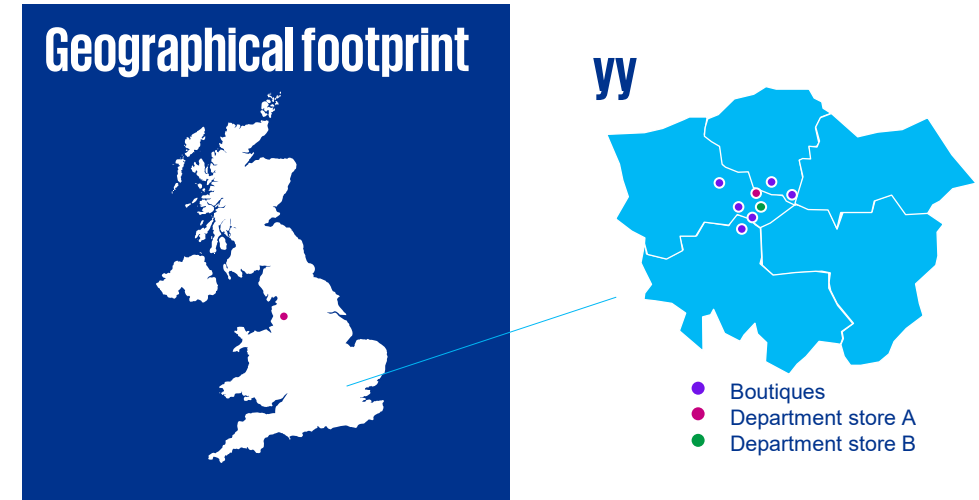
Company overview

Y was founded in 2003 as a digitally led retailer of contemporary womenswear.

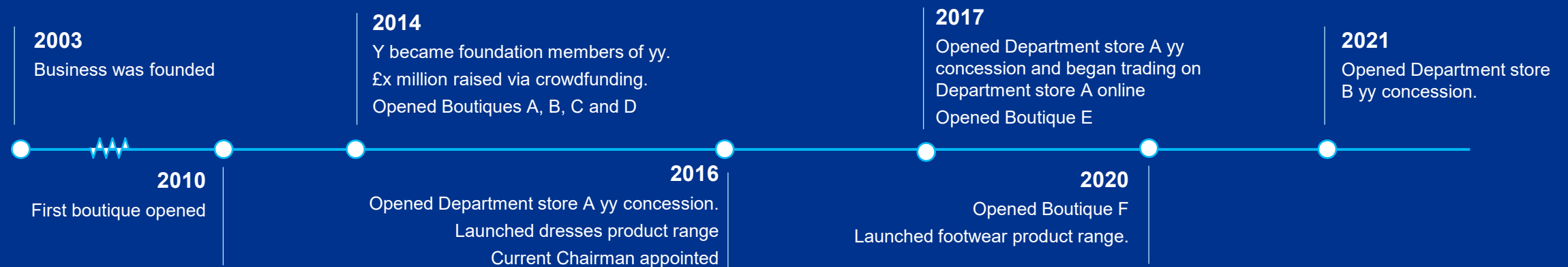
The brand is sold directly to consumers through three channels: online, boutiques and through concessions at two luxury department stores. The boutiques and concessions are currently principally yy centric, with six boutique stores in the yy.

Y products are targeted at affluent women aged 35 – 55, with a key focus on high quality fabric, versatility and longevity. Products are designed to work across seasons, be dressed up or down and to be worn together in an attempt to increase basket size, AOV, and customer loyalty.

All products are designed in house by a dedicated team and manufactured in high precision factories, with a focus on sustainability throughout the design, manufacturing and packaging process.



Timeline of key events



Trading overview

Overall				
£'000	FY19	FY20	FY21	LTM22
Net revenue	10,740	16,285	21,284	35,534
Contribution	4,476	7,007	9,781	18,698
Head office costs	(4,423)	(6,191)	(7,759)	(11,393)
EBITDA	53	816	2,021	7,305
Key performance indicators				
Contribution %	41.7%	43.0%	46.0%	52.6%
EBITDA %	0.5%	5.0%	9.5%	20.6%

Online				
£'000	FY19	FY20	FY21	LTM22
Net revenue	7,665	10,653	18,680	30,265
Contribution	3,772	5,403	10,028	17,346
Key performance indicators				
Contribution %	49.2%	50.7%	53.7%	57.3%

Retail				
£'000	FY19	FY20	FY21	LTM22
Net revenue	3,075	5,633	2,603	5,177
Contribution	704	1,604	(232)	1,279
Key performance indicators				
Contribution %	22.9%	28.5%	(8.9)%	24.7%

Head office costs				
£'000	FY19	FY20	FY21	LTM22
Customer costs	1,295	2,118	2,831	5,263
Staff	2,025	2,719	3,294	4,091
Photography	495	503	515	626
Other	608	851	1,120	1,413
Head office costs	4,423	6,191	7,759	11,393

Concessions				
£'000	FY19	FY20	FY21	LTM22
Net revenue	279	1,401	556	1,008
Contribution	(21)	249	(179)	(67)
Key performance indicators				
Contribution %	(7.6)%	17.8%	(32.3)%	(6.7)%

Boutiques				
£'000	FY19	FY20	FY21	LTM22
Net revenue	2,796	4,232	2,048	4,169
Contribution	725	1,355	(53)	1,346
Key performance indicators				
Contribution %	25.9%	32.0%	(2.6)%	32.3%

Net revenue and contribution for the retail channel has been impacted by Covid-19 in LTM22.

Source: P-L January 2019, P-L January 2020, P-L January 2021, P-L September 2021

Note: Revenue and contribution relating to sample sales is not presented in the channel analysis above, resulting in a small reconciling difference in FY21 (£10,000) and LTM22 (£79,000) between the sum of the contribution from the channels and overall contribution.



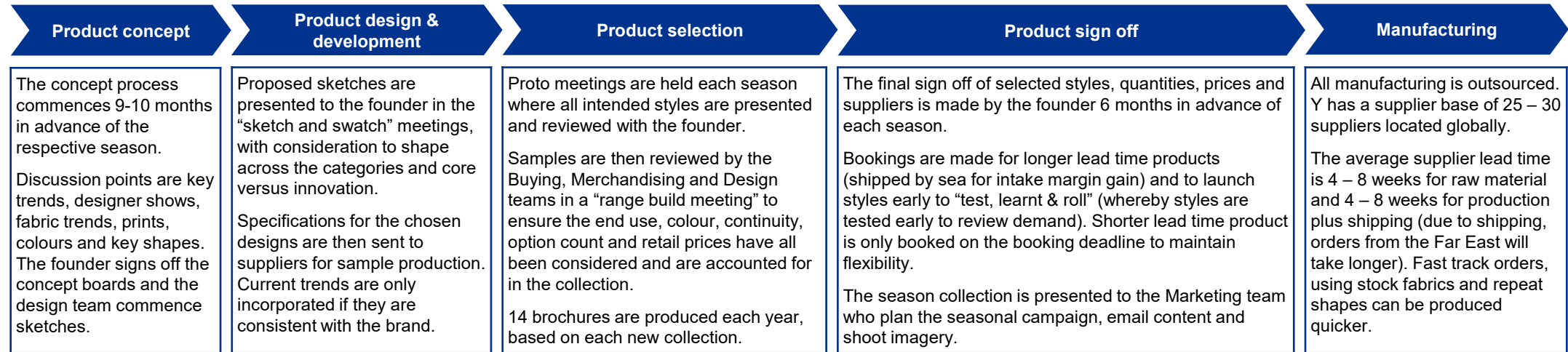
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Operational model

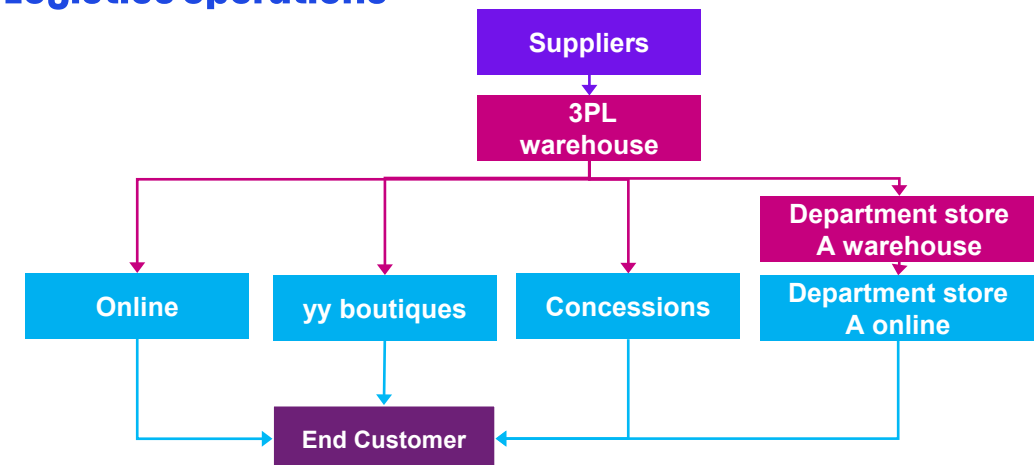


Logistics overview

Once products are received from suppliers, they are stored and despatched by a third party logistics provider (3PL) specialising in digital retail, with a warehouse based in yy.

- Online sales (including international orders) are sent directly from the warehouse to the end customer, using various couriers such as yy, yy and yy.
- yy boutiques and concessions are replenished up to five times a week, with the first delivery topping up stock levels and the second delivery consisting of new product that has recently come into the warehouse.
- Y deliver a selection of stock to the Department store A yy warehouse on a weekly basis, from which all Department store A online orders are fulfilled.
- Department store B online orders are fulfilled from the Department store B concession.

Logistics operations

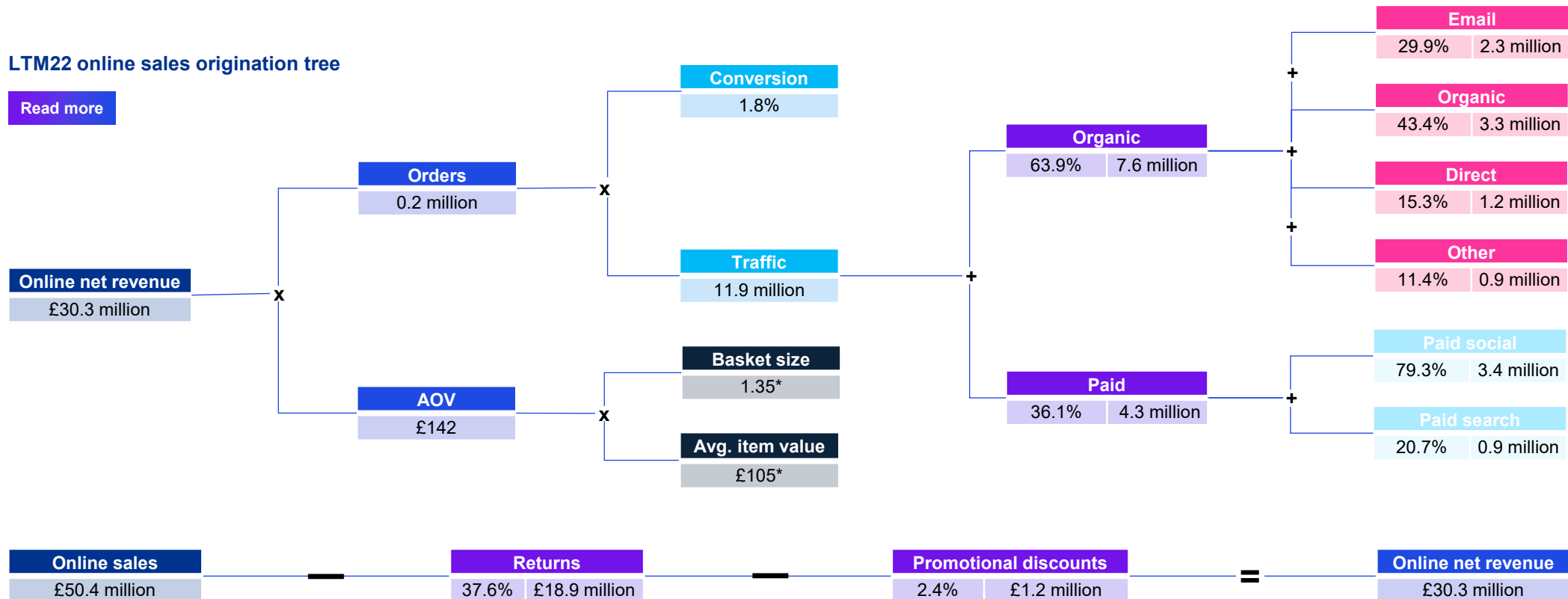


Online sales drivers

The key drivers of online sales are traffic, and the associated marketing cost, conversion and average order value. Y's primary source of traffic is organic and email, driving 27.7% and 19.1% of website traffic in LTM22 respectively. Online sales represents product sales net of VAT and marked down discounts. The cost per acquisition was £72 in LTM22, with acquisition costs relating to brochures and digital media.

LTM22 online sales origination tree

[Read more](#)



Source: Google analytics, Transactional level data.

Note: * Based on transactional level data



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Summary financials

Quality of earnings

[Read more](#)

Quality of earnings					
£'000	FY19	FY20	FY21	LTM22	FY22O
Reported EBITDA	53	816	2,021	7,305	10,147
Mgmt adjustments	58	58	259	181	(136)
Potential adjustments	-	-	252	243	374
Underlying EBITDA	110	873	2,533	7,728	10,385

Source: 6.1.6.2.1._Adjusted Earnings for FYE Jan 19, Jan 20, Jan21 and Jan 22

Net working capital

[Read more](#)

Adjusted NWC						
£'000	FY19	FY20	FY21	LTM22	FY22O	6+6
Maximum	561.8	(3.2)	(28)	(2,306)	(3,054)	(3,205)
Minimum	(388.8)	(1,025.8)	(2,877)	(4,628)	(4,695)	(4,866)
Swing	950.6	1,022.6	2,849	2,322	1,641	1,661
Average	49.3	(480.3)	(1,462)	(3,427)	(3,921)	(4,013)
Period end	(17.3)	(574.1)	(2,306)	(4,628)	(4,183)	(4,866)
Average WC days						
Inventory days	111	107	116	108	120	124
Creditor days	32	34	48	49	50	48

Source: P-L January 2019, P-L January 2020, P-L January 2021, P-L September 2021

Net cash

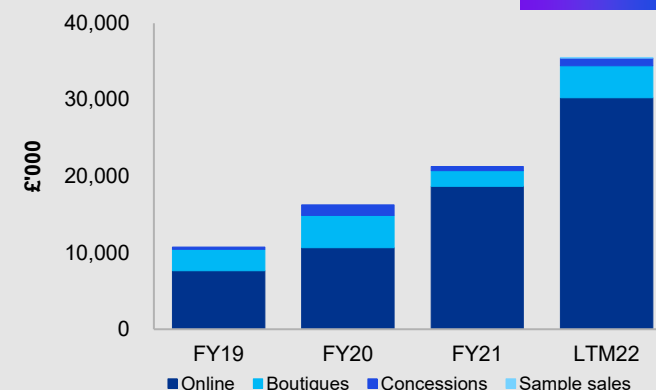
[Read more](#)

Net cash	
£'000	Sep-21
Net cash	12,846
Potential adjustments	665
Adjusted net cash	13,512

Source: P-L January 2019, P-L January 2020, P-L January 2021, P-L September 2021

Sales by channel

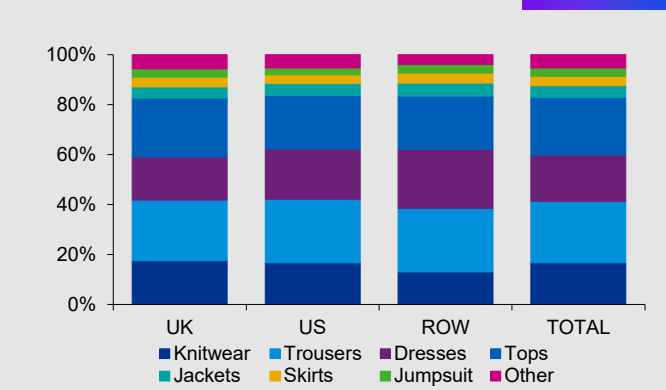
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Source: P-L January 2019, P-L January 2020, P-L January 2021, P-L September 2021

LTM22 product sales by region

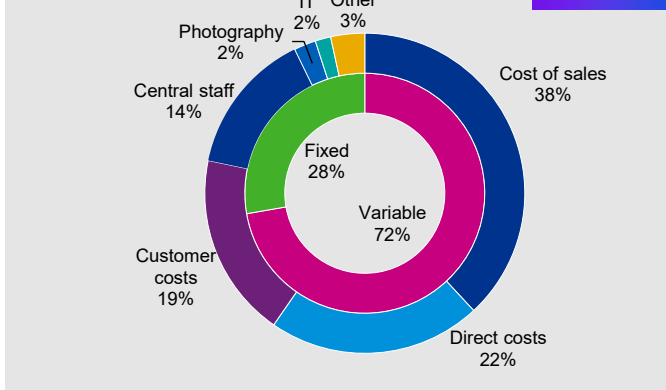
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Source: Transactional level data

LTM22 Cost base

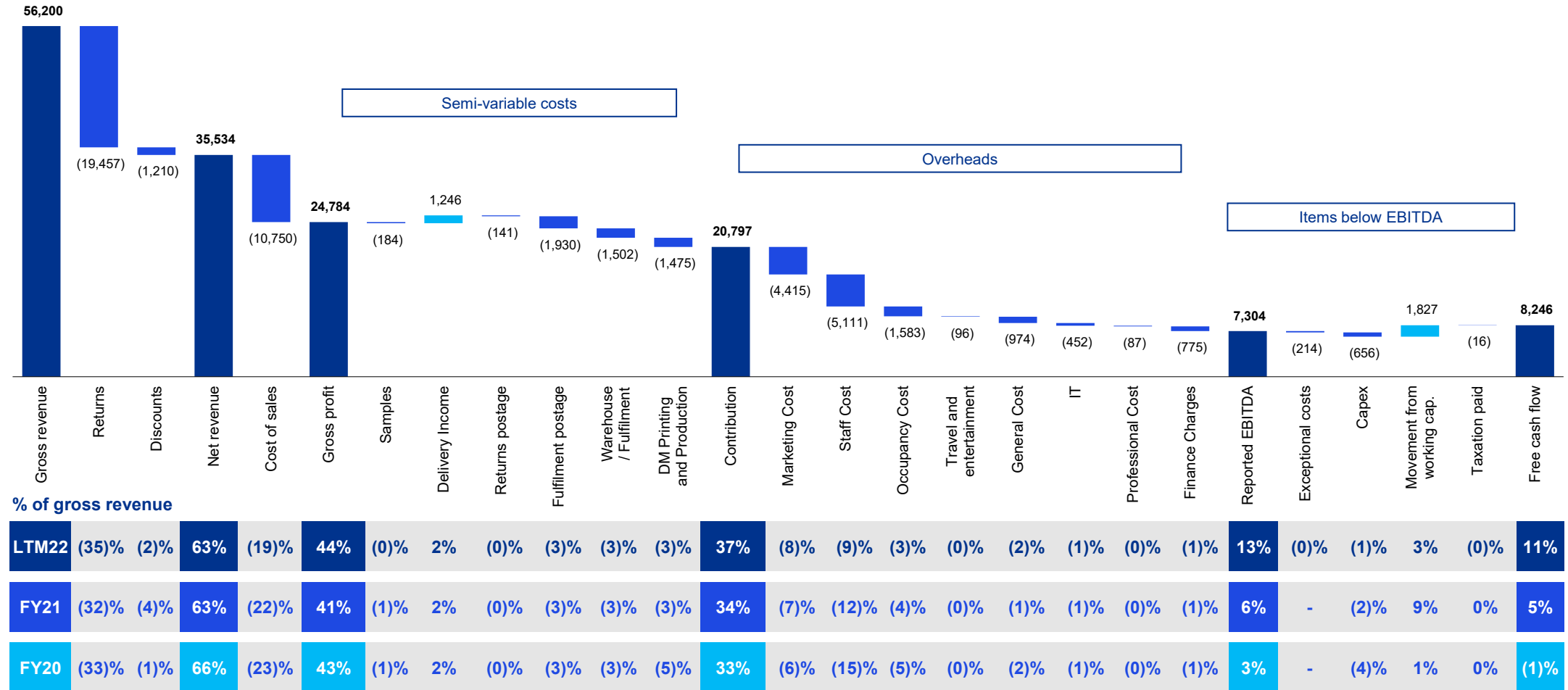
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Source: P-L January 2019, P-L January 2020, P-L January 2021, P-L September 2021

Key financial drivers

LTM22 reported financial summary, £'000



Source: P-L September 2021



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Headlines (1/3)

Topic	Implication		
	Valuation	SPA	Other
Historical trading Read more Y displayed strong historical trading performance between FY19 and LTM22 with revenue growth of £24.8 million and EBITDA growth from £0.1 million to £7.3 million. This has been driven primarily by strong online sales growth, coupled with increased gross margin and leverage of the cost base.	✓		
Quality of earnings Read more £0.2 million of potential adjustments have been identified increasing LTM22 EBITDA to £7.7 million, as compared to Management's adjusted EBITDA of £7.5 million. Adjustments include the removal of the week 53 impact, release of accruals and rent reductions. We concur with the majority of Management adjustments and exceptional items although the potential purchaser will need to consider their NED costs.	✓	✓	
FY22 Outturn Read more The FY22 outturn EBITDA forecast appears achievable based on historical seasonality, although it is inherently dependent on current revenue and customer acquisition trends being maintained. October 2021 flash sales show that total net revenue was £1.0 million (22.6%) ahead of forecast for that month. Potential quality of earnings adjustments of £0.4 million have been identified.	✓	✓	

Headlines (2/3)

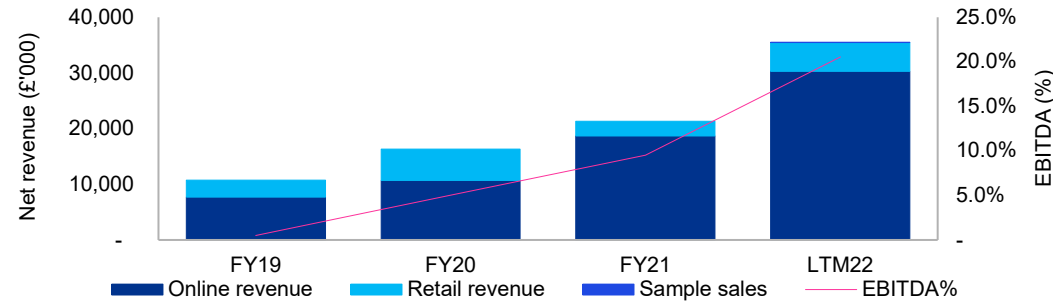
Topic	Implication		
	Valuation	SPA	Other
Forecast FY23-FY25 Read more EBITDA is forecast to increase by £14.4 million (38.7% CAGR) from LTM22 to FY25 driven by net revenue growth of £72.0 million, predominantly (90.4%) from Y's online channels. Overall the forecast assumptions appear broadly reasonable based on historical trends however we recommend that you consider the findings of the commercial due diligence when assessing net revenue assumptions beyond FY22.	✓		
Net cash Read more As at 26 September 2021, Y had reported cash of £12.8 million. We have identified £0.7 million of potential cash like adjustments to reported net cash. Y has no external borrowings as a result of the cash generative nature of the business.	✓	✓	
Working capital Read more Y has typically operated with a negative working capital profile, driven by higher trade creditor days, no accounts receivable balances and quarterly VAT payments. On an adjusted basis average NWC decreased from £(1.5) million in FY21 to £(3.4) million in LTM22, due to factors associated with business growth: increased trade creditor balance, returns provision, VAT liability and bonus accrual. On an adjusted basis, September 2021 net working capital is £1.2 million less than the LTM22 average. Adjusted working capital at September 2021 was £0.6 million lower than the 6+6 period adjusted average of £4.0 million.	✓	✓	

Headlines (3/3)

Topic	Implication		
	Valuation	SPA	Other
Cash flow Read more Operating cash flow conversion has been in excess of 100% historically, largely driven by the business operating with a negative net working capital profile. The cash balance has increased from £1.5 million at January 2019 to £12.8 million at September 2021, predominantly as a result of increased trading.	✓	✓	

Key findings — Financial (1/4)

Financial performance [Read more](#)



Revenue increased by £24.8 million (CAGR 56.6%) between FY19 and LTM22 predominantly driven by the online channel which saw strong growth due to investment in digital media, expansion of the product range and increased internationalisation, combined with the shift in consumer behaviour to online during the Covid-19 pandemic (which has been sustained post-lockdowns). The retail channel was impacted by closures and low footfall during the Covid-19 pandemic, however still contributed £2.1 million revenue growth as net two new boutiques and one concession were opened.

EBITDA margin increased from 0.5% in FY19 to 20.6% in LTM22 driven in part by a 4.9ppt increase in gross margin due to increased buying power and improved forecasting reduced the requirement for discounting. The higher mix of online sales also contributed by reducing direct costs as a proportion of revenue, as well as Management leveraging overheads and staff costs to support growth.

Y displayed strong historical trading performance with 56.6% CAGR growth in revenue and 20.1ppt increase in EBITDA margin between FY19 and LTM22.

Value
SPA
Other

Source (all): P-L January 2019, P-L January 2020, P-L January 2021, P-L September 2021

Quality of earnings [Read more](#)

£'000	FY19	FY20	FY21	LTM22	FY22O
Reported EBITDA	53	816	2,021	7,305	10,147
Mgmt adjustments	58	58	259	181	(136)
Potential adjustments	-	-	252	243	374
Underlying EBITDA	110	873	2,533	7,728	10,385

Management's LTM22 adjustments relate to the removal of the Department store A minimum guarantee and the removal of NED costs. FY22 outturn adjustments relate to the removal costs associated with the warehouse relocation and removal of NED costs. We concur with these adjustments.

Potential adjustments identified in the course of our work include:

- Removal of week 53 trading profit from January 2021 (LTM22: £0.2 million);
- Recognition of FX differences compared to budget (LTM22: £0.2 million; FY22O: £0.1 million)
- Reversal of over-accrued costs (LTM22: £0.2 million; FY22O: £(0.2) million)
- Estimated October 2021 outperformance (FY22O: £0.6 million)

£0.2 million of potential adjustments have been identified increasing LTM22 EBITDA to £7.7 million, as compared to Management's adjusted EBITDA of £7.5 million.

Value
SPA
Other

Key findings — Financial (2/4)

FY22 outturn and current trading

[Read more](#)

Gap to go (YTD September 2021)

£'000	YTD20	YTG20	FY20	Gap (%)	YTD22	YTG22	FY22O	Gap (%)
Net revenue	10,014	6,272	16,285	38.5%	26,091	18,015	44,107	40.8%
Gross profit	6,527	4,053	10,580	38.3%	18,375	11,684	30,058	38.9%
Contribution	4,256	2,751	7,007	39.3%	14,056	8,717	22,774	38.3%
Overheads	(3,959)	(2,232)	(6,191)	36.0%	(8,076)	(4,547)	(12,624)	36.0%
EBITDA	297	519	816	63.6%	5,980	4,170	10,150	41.1%

Key performance indicators (%)

Gross profit margin	65.2%	64.6%	65.0%		70.4%	64.9%	68.1%	
EBITDA margin	3.0%	8.3%	5.0%		22.9%	23.1%	23.0%	

Y's sales run rate appears to be largely supportive of the FY22 outturn, however the remaining gap is slightly larger than in FY20. Achievability depends on new customer acquisition in the online channel and no further Covid-19 restrictions impacting the boutiques and concessions. We note October flash results show net revenue overperformance on budget by £1.0 million which lends support to Y reaching its FY22 outturn net revenue budget.

Improvements in supply and demand forecasting has reduced the requirement to discount in YTD22 causing gross profit margin to be 70.4%, significantly ahead of FY22 outturn gross profit margin of 68.1%.

YTD22 EBITDA margin is broadly in line with FY22 outturn and the YTG22 gap is consistent with FY20.

FY22 outturn EBITDA appears to be achievable based on historical performance and current trading as proportionately consistent sales performance and good cost control has driven YTD22 EBITDA margin (22.9%) to be in line with the assumed FY22 outturn margin (23.0%).

Value
SPA
Other

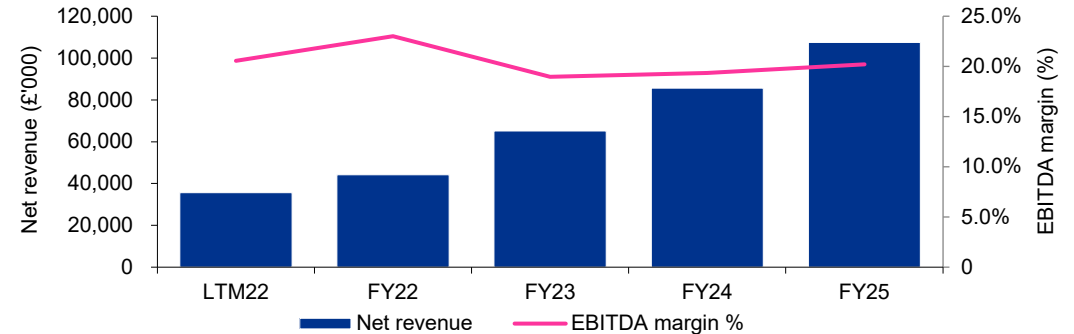
Note: FY20 is used as a comparison for current trading as FY21 was disrupted by the Covid-19 pandemic. If FY21 was used the EBITDA gap-to-go would be 65.7%.

Source (all): P-L January 2019, P-L January 2020, P-L January 2021, P-L September 2021



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Forecast trading

[Read more](#)


Net revenue is forecast to increase by £72.0 million from LTM22 to FY25 (45.3% CAGR), largely due to the online channel (£65.1 million, 44.1% CAGR) which is driven by new customer acquisition and customer behaviour assumptions which are largely supported by the findings of the commercial due diligence report.

Gross profit margin is assumed to decrease from 68.8% in LTM22 (YTD22 71.6%) to 65.5% in FY25 to guard against any potential future requirement to discount in the forecast period. Management is confident that, based on trading since stores have reopened, current gross profit margin is sustainable in the forecast period.

Overheads are assumed to increase to support business growth, resulting in a decrease in EBITDA margin in FY23 before slightly increasing in FY24 and FY25.

EBITDA is forecast to increase by £14.4 million (38.7% CAGR) over the forecast period driven by net revenue growth of £72.0 million, largely from the online channel. The forecast assumptions appear broadly reasonable based on historical trends.

Value
SPA
Other

Key findings — Financial (3/4)

Net cash		Read more
£'000	Ref.	Sep-21
Reported net cash		12,846
Potential adjustments from NWC		
PayPal buffer	a	(100)
Cash yet to clear in debtors	b	790
Exceptional costs	c	(25)
Other potential adjustments		
Corporation tax	d	n.q
Total potential adjustments		665
Adjusted net cash		13,512

Reported net cash of £12.8 million includes £1.6 million relating to yy receipts. Y has no external borrowings as a result of the cash generative nature of the business.

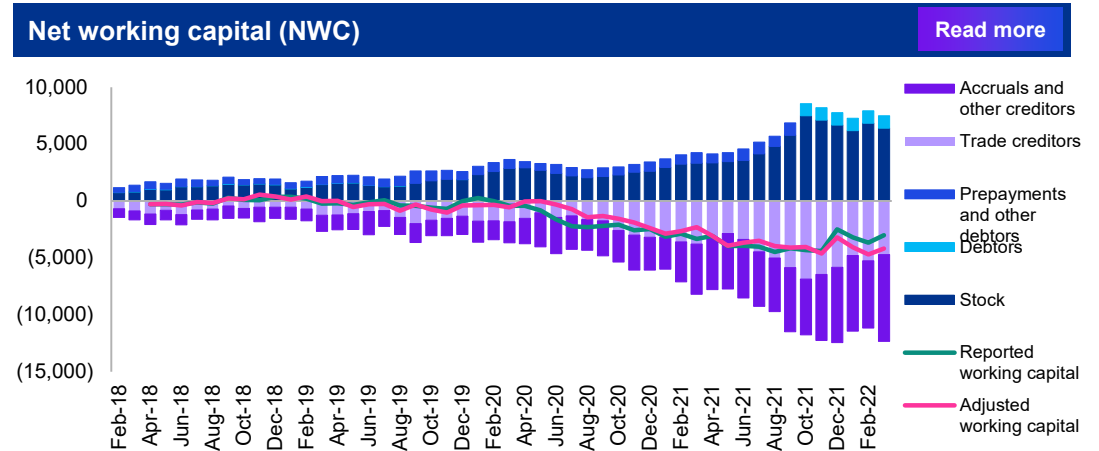
We note Y has not paid corporation tax historically due to the availability of brought forward losses (£3.3 million remaining as at September 2021 with £5.3 million of profit before tax generated in YTD22).

We have identified £0.7 million of potential adjustments, mainly comprising £0.8 million of uncleared credit card receipts, partially offset by a £0.1 million yy float which we deem to be working capital in nature. Other considerations of £(1.7) million have also been identified which are discussed in further detail in the **balance sheet section**.

We recommend a full tax computation is undertaken prior to any transaction completion as to date there has not been any liability recognised in the accounts.

Value
SPA
Other

Source (all): P-L January 2019, P-L January 2020, P-L January 2021, P-L September 2021



On an adjusted basis average NWC decreased from £(1.5 million) in FY21 to £(3.4 million) in LTM22, largely driven by factors associated with business growth such as an increase in the trade creditor balance, the returns provision, the VAT liability and the bonus accrual. On an adjusted basis, September 2021 NWC is £1.2 million less than the LTM22 average.

We have identified a number of adjustments to, largely relating to the Department store A minimum guarantee accrual, uncleared credit card receipts, and deferred VAT under the government's Covid-19 scheme. We have also adjusted for a number of accrual and provision releases (see **quality of earnings analysis**).

Y has typically operated with a NWC profile, driven by higher trade creditor days, no accounts receivable balances and quarterly VAT payments. Potential adjustments of £(0.2) million at September 2021 have been identified.

Value
SPA
Other

Key findings — Financial (4/4)

Cash flow	Read more				
	FY19	FY20	FY21	LTM22	FY220
EBITDA	53	816	2,021	7,305	10,147
Movements in net working capital	136	193	2,911	1,827	(324)
Operating cash flow	189	1,009	4,933	9,131	9,823
Other	(82)	2	80	(229)	(241)
Capital Expenditure	(467)	(1,045)	(509)	(656)	(676)
Free cash flow	(360)	(34)	4,503	8,247	8,906
Net cash from financing activities	847	123	445	506	20
Movement in cash	488	89	4,948	8,752	8,926
Closing cash	1,477	1,567	6,515	12,846	15,445

Key performance indicators

Operating cash conversion % n/a 123.7% 244.0% 125.0% 96.8%

Free cash conversion % n/a (4.2)% 222.8% 112.9% 87.8%

Operating cash flow conversion has consistently been over 100% historically, with the increase in the payables balance exceeding the increase in stock. This is the result of stock days declining across the historical period (largely due to online demand exceeding available stock in LTM22 with new stock lines selling out in 1-2 weeks) and trade creditor days increasing (driven by increased use of Far East suppliers that have longer credit terms of 60 – 90 days).

Operating cash conversion was 244.0% in FY21, driven by an increase in the returns provision, a deferral of the February 2020 VAT payment under the government's Covid-19 scheme, and increased use of suppliers with longer credit terms.

The cash balance has increased from £1.5 million at January 2019 to £12.8 million at September 2021, predominantly as a result of increased trading.

Operating cash flow conversion has been in excess of 100% historically, largely driven by the business operating with a negative net working capital profile.

Value
SPA
Other

Source: P-L January 2019, P-L January 2020, P-L January 2021, P-L September 2021

Control environment

Y's financial accounts have been audited by yy since FY20 with the FY19 opening balance sheet audited as part of this process. Unqualified audit opinions were received during the historical period. We consider the financial information made available to us was robust and of good quality, and in line with our expectations and experience on similar transactions. We note, however, that in certain points during the year costs were over accrued e.g. photoshoots and freelance staff (see the **quality of earnings pages** for further detail), which could result in distorted results on a monthly basis. We note accruals are often released over a period of time rather than the point it is known that costs are no longer required.

Statutory adjustments largely relate to reclassifications such as delivery income and direct costs. The variance in net profit between the management and statutory accounts has been minimal in the historical period.

We also consider the finance team (which is overseen by the COO) to be fairly lean, historically consisting only of a Finance Manager, a Finance Analyst and a Finance Assistant, albeit the function was strengthened in July 2021 with a finance administrative assistant and the business is looking to hire an Accounts Payable clerk.

Y's CRM systems are currently not sufficiently sophisticated to give a single customer view i.e. they are unable to join up online customers to those that have purchased in boutiques, consequently this reduces the level of understanding of customer behaviour. We understand that a new CRM system is due to be launched in November 2021 to address this.

The quality of financial information and control environment is strong, which results in good quality robust information.

Value
SPA
Other

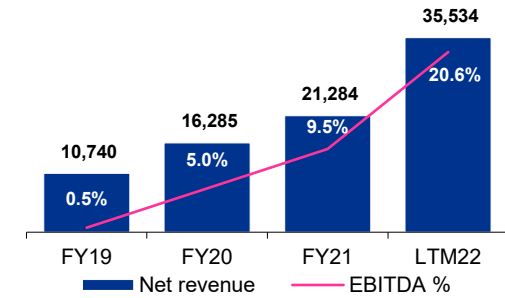
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Historical trading

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Profit & loss overview

EBITDA has grown by £7.3 million between FY19 and LTM22. This has predominantly been delivered by the online channel (£13.6 million contribution) as Retail was heavily impacted in FY21 by enforced enclosures during national lockdowns (£0.3 million reduction in contribution).



Summary profit and loss						
£'000	FY19	FY20	FY21	LTM22	FY22O	CAGR % FY19 - LTM22
Net revenue						
Online	7,665	10,653	18,680	30,265	36,452	67.4%
Retail	3,075	5,633	2,603	5,177	7,563	21.6%
Samples sales	-	-	-	92	92	-
Total net revenue	10,740	16,285	21,284	35,534	44,107	56.6%
Gross profit						
Online	4,780	6,623	11,997	20,906	24,518	73.9%
Retail	2,182	3,957	1,817	3,785	5,449	22.9%
Sample sales	-	-	-	92	92	-
Total gross profit	6,962	10,580	13,814	24,783	30,058	61.0%
Contribution						
Online	3,772	5,403	10,022	17,340	20,029	77.2%
Retail	704	1,604	(232)	1,279	2,666	25.1%
Sample sales	-	-	(10)	79	79	-
Total contribution	4,476	7,007	9,781	18,698	22,774	70.9%
Head office costs	(4,423)	(6,191)	(7,759)	(11,393)	(12,627)	42.6%
EBITDA	53	816	2,021	7,305	10,147	534.9%

Key performance indicators

Gross margin	64.8%	65.0%	64.9%	69.7%	68.1%
Contribution margin	41.7%	43.0%	46.0%	52.6%	51.6%
EBITDA margin	0.5%	5.0%	9.5%	20.6%	23.0%
AOV (£)	105	110	131	142	

Source (all): P-L January 2019, P-L January 2020, P-L January 2021, P-L September 2021



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Historical trading

Revenue has increased by CAGR 56.6% from FY19 to LTM22 which is largely due to the online channel (91.2%) driven by business initiatives such as investment in digital media, expansion of the product range and increased internationalisation.

Furthermore, average order value (AOV) and customer lifetime value (LTV) for online customers has increased across the historical period, driven by a higher mix of full price sales and increased order frequency.

Further detail can be found in the **online trading** and **retail trading** sections.

Gross margin increased by 4.9 ppt, which we understand is predominantly driven by a higher intake margin due to increased buying power and a continued improvement in demand forecasting has led to an enhanced matching of demand and supply – this has mitigated the requirement to discount.

The growth in revenue and gross margin was partially offset by growth in head office costs (£7.0 million), principally driven by:

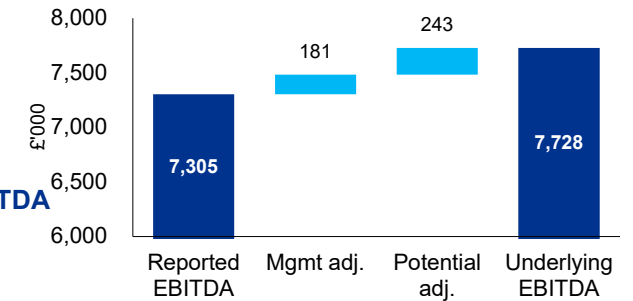
- Customer costs (£4.0 million) primarily attributable to Digital Media (£3.3 million) as Y invested heavily in digital marketing in order to stimulate new customer acquisition for the online channel; and
- Staff costs (£2.0 million) in order to support the increased activity levels.

The FY22 outturn assumes continued growth of the online channel coupled with the recovery of retail post store re-openings. See the **current trading** for further consideration of the FY22 outturn.

Head office costs predominantly relate to marketing costs (including digital media, brochures and photography), head office rent and rates and staff within the head office, all of which are discussed within the **cost base section** along with the equivalent costs for Retail and Online.

Quality of earnings (1/7)

In the outturn period Management has identified exceptional costs and accounted for these below EBITDA. Reported EBITDA of £8.0 million in FY22 is therefore exclusive of the below costs.



Quality of earnings						
£'000	Ref.	FY19	FY20	FY21	LTM22	FY22O
EBITDA before exceptionals		(29)	816	2,021	7,091	9,934
Exceptional costs						
Warehouse relocation	1	-	-	-	214	214
Redundancy costs	2	82	-	-	-	-
Reported EBITDA		53	816	2,021	7,305	10,147
Management adjustments						
Dept. store A min. guarantee	3	-	-	202	123	(193)
NED costs	4	58	58	58	58	58
Mgmt. adjustments		58	58	259	181	(136)
Mgmt. adj. EBITDA		110	873	2,280	7,485	10,011
Potential adjustments						
NED costs	4	[]	[]	[]	[]	[]
October trading	5	-	-	-	-	637
Week 53 impact	6	-	-	(199)	(199)	-
Head office pay cut	7	-	-	(72)	-	-
Release of accruals	8	-	-	60	187	(181)
Legal fees	9	-	-	43	29	(22)
Boutique G closure costs	10	-	-	45	19	(26)
Sample sales	11	n.q.	n.q.	n.q.	n.q.	n.q.
Rent reductions	12	-	-	137	107	-
Returns provision	13	-	-	203	-	-
Business interruption insurance	14	-	-	35	-	(35)
FX adjustment (cost of sales)	15	-	-	-	(26)	-
FX adjustment (sales)	16	-	-	-	127	-
Total potential adj.		-	-	252	243	374
Underlying EBITDA		110	873	2,533	7,728	10,385

Exceptional costs

- Warehouse relocation – Y changed 3PL provider from Logistics A (based in yy) to Logistics C (based in yy) in July 2021, resulting in a warehouse relocation. Although £0.1 million of the expenditure related to the IT migration and was therefore capitalised (in line with the advice provided by the auditors), exceptional expenditure of £0.2 million was incurred in July, largely relating to:
 - TUPE and redundancy costs (£0.1 million) – staff were given the opportunity to relocate, no employees took up that right and all accepted redundancy;
 - Logistics A early termination fee (£50,000);
 - overlapping running costs (£50,000); and
 - the relocation of stock (£20,000).
- Redundancy costs – The head office was restructured in FY19, resulting in the redundancy of the Head of Finance, Head of Operations and PR Manager, who were indirectly replaced by the COO and the Growth Director. Management has adjusted for the redundancy costs on the basis that they were exceptional.

Due to the seniority of the roles, we agree with the treatment of this cost. We have also removed the redundancy accrual for the PR manager from net working capital.

We agree with the treatment of these costs as exceptional (below EBITDA).

Source (all): 6.1.6.2.1. _Adjusted Earnings for FYE Jan 19, Jan 20, Jan21 and Jan 22

Quality of earnings (2/7)

Management has undertaken an exercise for Project Y to identify adjustments to reported EBITDA that it considers to be one-off or non-recurring in nature such as a minimum guarantee and the NED costs. Throughout the course of our work we have identified a number of additional adjustments that we consider to be one-off, non-recurring or exceptional in nature.

Management adjustments

3. Department store A minimum guarantee – There is a £0.2 million minimum guarantee should sales fall short of the minimum requirement. Y accrue for this monthly (on the basis of monthly actual sales vs. the minimum threshold), resulting in a full accrual of £0.2 million at January 2021 and an additional £0.1 million in H1 FY22. To date, Department store A have not communicated their intention to impose the minimum guarantee, neither have they invoiced for this balance at the date of our report, therefore Management deems it unlikely that it will be enforced given the length of time that has passed and that the stores were closed due to Covid-19.

Management has released £57,000 relating to the lockdown in May 2021 and the remaining balance (accrued between August 2020 and January 2021) is being released evenly between August 2021 and January 2022 (£0.2 million) for which we have reversed.

On the basis it seems unlikely that they will be incurred for the periods of closure, we concur with Management's adjustment and have also removed the accrual from net working capital.

We note that Management has accrued £43,000 relating to H2 FY22 now that the concessions have reopened and sales continue to be subdued partially due to lower tourist numbers in the concession stores. Management consider this to be a cautious position and whether this balance is enforced is likely to be down to commercial negotiations.

4. NED costs – This adjustment relates to the full salary for the Chairman, who has an advisory role through attendance at the quarterly Board meetings in addition to meeting with senior management monthly. You would need to consider the cost of your own Board structure post completion.

Potential adjustments

5. October performance – Y performed strongly in October 2021, generating sales £1.0 million higher than assumed in the forecast. We have proposed a potential adjustment to reflect the EBITDA impact as a result of the overperformance. Management has derived the EBITDA impact based on margins achieved in September 2021. Management has confirmed that the cost base should be in line with budgeted levels however we have not been able to confirm this as full management accounts were not available at the date of this report. We recommend you consider the actual October 2021 EBITDA performance once available.
6. Week 53 impact – The business accounts on a 4-4-5 basis, resulting in the FY21 financial year having a 53rd week. Management accounted for this week within January 2021, resulting in a six week month. Management has provided an EBITDA schedule for this week, based on online gross profit (as both boutiques and concessions were closed under Covid-19 restrictions), fulfilment costs and digital acquisition costs. Direct costs have been estimated on the basis of these costs as a percentage of sales throughout the month of January, whilst acquisition costs relate to the actual costs incurred with yy in the 53rd week. We have made an adjustment to remove the EBITDA generated in the 53rd week.
7. Head office pay cut – Head office employees received a 20% pay cut in March and April 2020 amidst the uncertainty surrounding the Covid-19 pandemic. However, as this was repaid within the April 2021 payroll and there was no reduction in hours associated with this pay cut, we have adjusted to recognise the full salary costs in the period in which they were earned.

Quality of earnings (3/7)

Throughout the course of our work we have identified a number of additional adjustments to EBITDA that we consider to be one-off, non-recurring or exceptional in nature. These include the October flash results showing an overperformance compared to budget, the removal of the week 53 impact and the head office pay cut.

Potential adjustments

8. Release of accruals / provisions – A number of provisions and accruals were made by Management during the historical period, however, Management considers that the amounts provided were too high, and have released an element of the provision in the forecast. We have adjusted underlying earnings and net working capital to ensure that the incurred cost and associated accrual is recognised in the correct period. The accruals relate to the following:
 - i. IT licence (£60,000) – An accrual was made in January 2021 for the Magento licence cost on the assumption that Y would move up a price band, but the licence has been renewed at the original rate, with Management releasing this accrual evenly from August 2021 to January 2022.
 - ii. Freelance staff (£75,000) – A provision was made in YTD22 for additional freelance resource, mostly in relation to designers, £35,000 of which Management is intending to utilise in the outturn period and release £40,000 evenly from August 2021. On this basis the cost is overstated in LTM22 and we have reallocated planned actual spend into FY22.
 - iii. Photoshoot (£51,000) – A £77,000 provision was made between February and April 2021 for shoot days for campaigns that was only partially used. Management plan to utilise the remaining provision (£51,000) during shoots planned between October 2021 and January 2022. We have therefore reallocated the costs between LTM22 and FY22 outturn.
 - iv. Travel and entertainment (£35,000) – Management provided for travel costs in H2 FY22 for resumed international trips for buyers. Due to ongoing travel restrictions, Management expect to release these costs in the FY22 outturn. Therefore, the cost incurred in LTM22 is overstated and we have adjusted for this balance. We note Management state the costs will be used to partially offset Christmas party costs. We have not sought to adjust for this as the amount is currently unknown but note that the summer party cost £9,000.
9. Legal fees – Legal fees relating to advice for trademarks were incurred in January 2021 and were accrued from this date. However, Management has commented that the legal fees accrual has been released in the forecast as the legal fees will be capitalised. We have therefore removed this cost from underlying earnings and net working capital.
10. Boutique G closure costs – The decision was made to close the Boutique G boutique in January 2021 at the end of the lease. Management provided for potential closure costs i.e. dilapidations (£24,000) and redundancy costs (£21,000) in January 2021. However, actual costs incurred totalled £14,000 for dilapidations and approximately £5,000 for PILON, redundancy and holiday pay owed, therefore the remainder of the accrual was released to the P&L in YTD22. As store closures are infrequent, we have removed the closure costs from EBITDA and net working capital. However, we have presented the boutique's contribution as a memo line historically as the boutique will not contribute to EBITDA in FY22.

Quality of earnings (4/7)

Potential adjustments (continued)

11. Sample sales – Any aged stock that cannot be sold via the website is fully written down and either sold via a sample sale or given to charity. Sample sales were held in September 2019 and June 2021, generating sales revenue of £68,000 and £92,000 respectively. Although there are some small overheads incurred in relation to these sales, there is no cost of sales as the products have already been written down. As a result, the cost of the product has been recognised at a different time to when the revenue is recognised. Management has been unable to provide information relating to this in order for an adjustment to be made to both underlying earnings and net working capital to recognise the cost at the same time as the sale. Management has however commented that they plan on holding a sample sale each year and are not projecting to see a significant increase in the revenue generated from the sample sales or the level of stock write offs.
12. Rent reductions - Due to the impact of Covid-19 on the high-street management was able to agree rent reductions with their landlords in relation to Boutique D, Boutique C, Boutique E and Boutique F. However, these savings were not recorded within the management accounts, but will be posted in the accounting system post completion of the audit process. This adjustment reflects those savings.
13. Returns provision release – Y estimate returns to be approximately 40% of sales, with roughly half occurring in month. An accrual is posted and released each month based on actual returns of the prior month. In January 2021, the returns % was materially lower than budgeted due to the Covid-19 lockdown period (38.2% vs. forecast 43.5% for yy sales). A true up of £0.2 million was posted for the statutory accounts which we have reflected for the FY21 period. We have not sought to adjust LTM22 as the provision is recalculated on a monthly basis and therefore actual return rates are reflected in the YTD22 period.
14. Business interruption insurance – An insurance pay-out claim of £35,000 was received in July 2021 (FY22) relating to a flood in the Boutique D store in November 2020. The claim was calculated on the lost gross profit during the period of closure, with overall EBITDA impact expected as immaterial. We have therefore realigned the insurance income to match the costs in FY21. This has a net nil impact to EBITDA in LTM22 as both November 2020 and July 2021 are within this period.
15. FX adjustment (cost of sales) – Stock purchased in USD and EUR are posted into stock at the budgeted rates set on an annual basis (currently £1:\$1.25 and £1:€1.07). A true up is performed at year end (monthly post January 2021) and posted into cost of sales between the budget rate recognised within stock and the actual invoiced spot rates. We have adjusted LTM22 for the FX recognised within cost of sales that related to months outside of the LTM22 period.

Quality of earnings (5/7)

Potential adjustments (continued)

16. FX adjustment (USD sales) – Y records yy sales at a budgeted FX rate (currently £1:\$1.25) and then performs a monthly true up between budgeted and actual spot rates. Prior to January 2021, this was performed on an annual basis at year end. We have made an adjustment to reallocate the FX adjustment posted in January-21 that related to months outside of the LTM22 period (£0.1 million).

We note that the FY22 outturn period has been calculated using budgeted FX rates, although a contingency of £0.2 million has been forecast in the accounts to recognise the difference between current and budgeted spot rates. Based on the average spot rate for October 2021, the net revenue would be overstated by approximately £10,000 after adjusting for the contingency of £0.2 million. We have not sought to adjust for this balance due to potential FX fluctuations going forward, although note this may present a small risk to the FY22 outturn presented.

We further note that the LTM22, and to a lesser extent FY22 outturn, boutique and concession trading has been impacted by Covid-19 and therefore have presented an indicative lost retail contribution, reflecting performance had the retail portfolio continued to trade in line with FY20 performance. In addition we have shown the impact of lost sales due to stock availability.

We would note whilst we have not sought to adjust for it, stock is valued at purchase cost, with no additional costs (such as freight or customs duties) absorbed into the value. Given stock has grown over the forecast period, if freight and duty had been absorbed into stock it's likely that profit would be higher than what has been presented.

Quality of earnings (6/7)

Throughout the course of our work we have identified a number of additional items which may be considered as part of the quality of earnings including lost retail contribution due to the Covid-19 pandemic which is offset by the reduced CPA during May – August 2020, as well as lost sales due to stock outs.

Quality of earnings (continued)						
£'000	Ref.	FY19	FY20	FY21	LTM22	FY22Q
Reported EBITDA		53	816	2,021	7,305	10,147
Mgmt adjustments		58	58	259	181	(136)
Potential adjustments		-	-	252	243	374
Underlying EBITDA		110	873	2,533	7,728	10,385
Other considerations						
Lost retail contribution						
- Lost trading weeks	17a	-	-	1,137	689	321
- Performance versus benchmark	17b	-	-	557	-	-
Reduced CPA	18	-	-	(348)	(169)	-
Lost sales cont. due to stock outs	19	-	-	175	2,550	2,374
Rent free	20	45	(32)	65	(19)	(20)
Capitalised internal staff costs	21	(20)	(11)	-	(56)	(83)
Revenue recognition policy	22	n.q.	n.q.	n.q.	n.q.	n.q.
Memo						
Boutique G contribution	9	-	88	(5)	(11)	-

Source: 6.1.6.2.1._Adjusted Earnings for FYE Jan 19, Jan 20, Jan21 and Jan 22

Other considerations

17. As part of this exercise, Management has considered the impact of Covid-19 on the business historically, particularly in relation to the enforced retail closures during the lockdown periods.

Covid-19 impact – Management has calculated the impact of the Covid-19 pandemic on the FY21 performance of Y, through consideration of the actual contribution of the boutiques and concessions in this period compared with the budget. Any government assistance such as furlough payments, business rates holidays and small business grants have been netted with this impact, along with rent reductions negotiated with boutique landlords.

Management has considered the impact on FY22 through consideration of the boutique or concession's performance in the first 10 weeks of the year (during the second lockdown) compared with the same weeks in FY20, applying the LFL % increase observed since the boutiques reopened. This results in an adjustment of £1.8 million, £1.2 million and £0.1 million in FY21, LTM22 and FY22, respectively.

Whilst we agree that the performance of the boutiques and concessions will have been negatively impacted by the enforced store closures relating to Covid-19 restrictions amidst the pandemic, the business likely also benefitted from online demand, which has not been considered as part of this calculation.

17. (continued)

We have calculated an alternative potential impact of Covid-19 on the business, by considering the FY20 contribution for the LFL boutiques and concessions and the FY21 budgeted contribution for the new boutiques versus actual contribution in the weeks that boutiques and concessions were forced to close as 'lost retail contribution' (Other consideration 17a). We note in the period since reopening in week 11 up to week 30 boutiques and concessions are 15.2% up on the comparable period in FY20. Please note that the rent reductions have been netted off this balance.

We have also conducted the equivalent calculation, but with reference to full year performance for the boutique or concession versus full year performance in FY20 or FY21 budget as relevant (17b). The adjustment is incremental to 17a.

18. Reduced CPA – As the cost per acquisition (CPA) declined in the period May – August 2020, we deem this to be a benefit of Covid-19. We have therefore sought to uplift acquisition costs in these months using the FY20 average CPA of £63.

Quality of earnings (7/7)

Other considerations

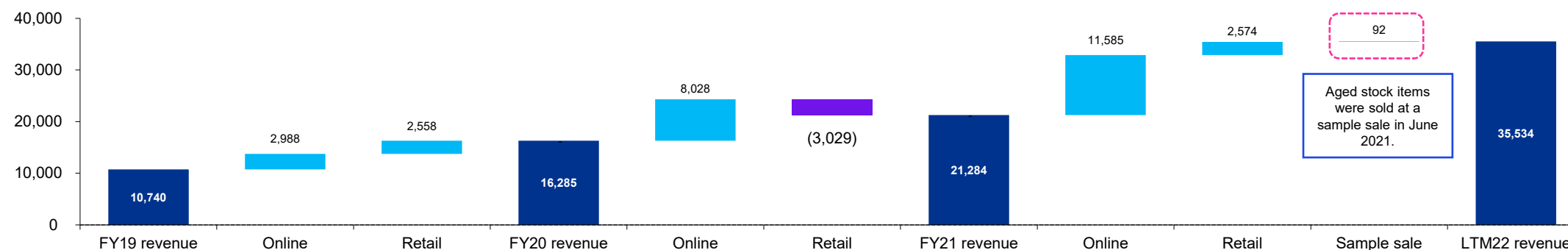
19. Lost sales contribution due to stock outs – A number of SKUs sold out in 1 – 2 weeks in the period December 2020 – July 2021, resulting in stock outs across a number of product lines as suppliers were unable to produce the volumes required. Y has new agreements in place for increased volumes with suppliers in an attempt to mitigate the risk of future stock outs, and Management has calculated the impact of the stock outs on sales, through consideration of weekly units sold and the potential life cycle of each SKU (adjusted for expected returns) for each sales channel (online, boutiques, and concessions). As we have already considered the loss of revenue in boutiques and concessions through the Covid-19 impact, we have only included the calculated impact on online sales within this other consideration.
- Management has calculated the impact on EBITDA through the inclusion of a blended gross margin based on product cost for each SKU, and the application of the YTD cost as a percentage of sales for variable costs including delivery, warehouse and merchant fees.
- As it is unclear whether customers may have opted to purchase an alternative product when the SKU was out of stock, it is difficult to determine the full extent of the missed demand and we have therefore included this as an other consideration within our analysis. We also note that Management has not included any marketing costs in this calculation, on the assumption that customers would already be visiting the website.

20. Rent free accrual – The rental lease for Boutique A, Boutique C, Boutique B and Boutique F and head office includes a rent free period at the start of the lease. This rent free benefit has been amortised over the period to the next review, resulting in an expense that has been lower than the cash rent payments by £32,000 in FY20, £19,000 in LTM22, and £20,000 in FY22 (with the profit and loss expense higher than cash payments by £45,000 in FY19 and £65,000 in LTM22 due to the rent free periods at Boutique B and Boutique F). We have not adjusted EBITDA for this, however it should be considered when assessing the trend in the underlying earnings of the business.
21. Capitalised internal staff costs – As part of the re-platforming of the website and warehouse relocation in FY19 and FY20, partial costs relating to internal staff were capitalised which represent an ongoing cash cost to the business. Management has forecast that 75% of the Head of IT salary will be capitalised in FY22.
22. Revenue recognition policy – We note Y currently recognises a sale upon customer payment, with a typical despatch time of 1-3 days. Management do not currently post an accrual either side of month end for orders not despatched.

Revenue bridge

Revenue has increased by £24.8 million (CAGR 56.6%) across the historical period predominantly driven by the online channel, as investment by Y combined with the market shift of consumers to online during the Covid-19 pandemic (which has sustained post-pandemic) drove higher website traffic, transactions and conversion. Consequently, despite the closure of boutiques and concessions for much of FY21, the decline in retail sales was more than offset by increased online revenue.

FY19-LTM22 historical revenue bridge (£'000)



Online

[Read more](#)

FY19 – FY20: The increase was largely driven by the launch of the yy website in March 2019 (£0.6 million), continued growth of the yy customer base and an expansion in the product range.

FY20 – FY21: The significant increase predominantly relates to customer acquisition both in yy and internationally from increased marketing spend and enhanced customer communication, but is also partially attributable to the closure of high street stores amidst the Covid-19 pandemic driving increased online demand.

FY21 – LTM22: Customer acquisition has continued, and Management assert factors including head to toe dressing, higher dress mix and more efficient demand planning has driven higher AOVs and order frequency.

Source: P-L January 2019, P-L January 2020, P-L January 2021, P-L September 2021

Retail

[Read more](#)

FY19 – FY20: The increase was driven by both the opening of Boutique E and a LFL increase of 52.9%, which Management attributes to increased brand awareness, an improved product range in store and styling session offerings. Concession revenue increased due to the full year impact of the Department store A concessions and the increase in floor space in the yy concession.

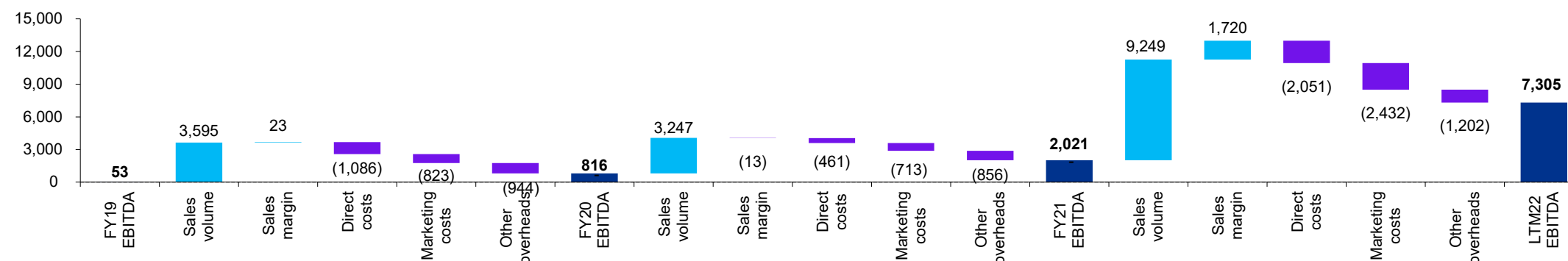
FY20 – FY21: Both boutique and concession revenue declined as a result of store closures amidst the Covid-19 pandemic.

FY21 – LTM22: The increase is primarily driven by the recovery in boutique revenue, with YTD September 2021 LFL growth of 40.9% compared with September 2019.

EBITDA bridge

Y has displayed strong EBITDA growth across the historical period with both the online and retail channels generating positive contribution (with the exception of retail in FY21 when the channel was heavily impacted by store closures during the Covid-19 pandemic). The EBITDA margin has continually improved, from 0.5% in FY19 to 20.6% in LTM22, as the business has leveraged overheads (which are relatively fixed in nature) to grow the online channel.

FY19-LTM22 historical EBITDA bridge (£'000)



Sales

[Read more](#)

EBITDA growth has historically been driven by sales volume rather than margin, with gross margin remaining broadly constant at approx. 65.0% across the historical period, before increasing to 69.7% in LTM22 which management attributes to a higher intake margin and a higher mix of full priced sales, predominantly due to improved demand forecasting (see the Cost base section of the report).

The increase in sales volume is largely driven by the online channel, with transactions increasing from 73,000 in FY19 to 214,000 in LTM22.

Direct costs

[Read more](#)

As a percentage of sales has decreased from 23.1% in FY19 to 17.1% in LTM22, principally due a higher mix of online sales (FY19; 71.4%, LTM22; 85.2%) which typically have lower direct costs due to no direct staff or occupancy costs).

Marketing costs

[Read more](#)

Increased by £4.0 million over the historical period, driven by a £3.3 million increase in digital marketing following a greater focus on this marketing channel for customer acquisition.

Brochure costs have also increased over the historical period by £0.6 million, £0.5 million of which came in LTM22 as a result of increased demand in the US. Brochure costs have not increased in line with sales growth due to the increased focus on digital marketing.

Other overheads

[Read more](#)

Increased by £3.0 million over the historical period. Largely driven by central staff costs (£2.1 million) driven by a higher headcount to support business growth, particularly in the online channel. Other overheads such as head office rent, general and IT costs have increased as a result of, or to support, business growth.

Source: P-L January 2019, P-L January 2020, P-L January 2021, P-L September 2021



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Business drivers — Net sales breakdown (1/2)

Sales from all channels can be returned within 28 days for a full refund. At Christmas, an extended returns policy is offered. Returns as a percentage of sales is much higher for the online channel than retail, due in part to customers not being able to see/feel the product and ordering multiple sizes.

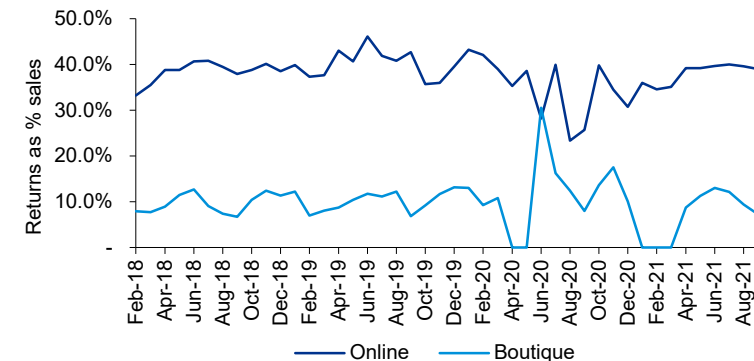
Customers can return online orders in store, although these are processed by head office and recorded within the online channel accounts. Concession returns can only be processed by the concession partner.

Gross to net revenue					
£'000	FY19	FY20	FY21	LTM22	FY22O
Online Sales	13,129	18,455	30,694	50,423	61,476
Boutique Sales	3,108	4,715	2,321	4,669	6,415
Concessions Sales	279	1,469	562	1,108	1,618
Gross revenue	16,516	24,639	33,577	56,200	69,510
Online Returns	(5,086)	(7,519)	(10,585)	(18,949)	(24,093)
Boutique Returns	(312)	(484)	(279)	(508)	(378)
Promotional Discounts	(378)	(351)	(1,429)	(1,210)	(933)
Net revenue	10,740	16,285	21,284	35,534	44,107

Key performance indicators (%)

Returns % sales	32.7%	32.5%	32.4%	34.6%	
Online returns % sales	38.7%	40.7%	34.5%	37.6%	39.2%
Boutique returns % sales	10.0%	10.3%	12.0%	10.9%	
Discounts % sales	2.3%	1.4%	4.3%	2.2%	1.3%

Returns as % sales



Source (all): P-L January 2019, P-L January 2020, P-L January 2021, P-L September 2021.

Net sales breakdown

Management has been unable to provide a true gross revenue as online and boutique sales are inclusive of any discounts offered through marked down prices (only promotional discount using codes can be separately identified) or sales, and concession sales are net of both discounts and returns, in line with the self billing invoices received from the concession partner. Consequently we are unable to demonstrate the level of sales at full price across the historical period.

Sales

The respective net sales performance for each revenue stream is discussed in the following sections (**online** and **retail**).

Online returns

Online returns as a percentage of sales decreased to 34.5% in FY21 which Management attributes to fewer customers choosing to return orders during the lockdown periods and an increased mix in casual wear, which typically has lower rates of return.

From FY22, free returns are offered to all customers, regardless of location. The customer delivery charge is refunded by Y when the entire online order is returned.

Boutique returns

Boutique returns as a percentage of sales increased to 12.0% in FY21 which Management attributes to the extended returns policy during the pandemic to 90 days, with the returns rate increasing to 30.5% in June 2020 when boutiques first reopened.

Business drivers — Net sales breakdown (2/2)

Net sales breakdown (continued)

Promotional discounts

Promotional discounts relates to discounts obtained via the use of promotional codes online only, and therefore does not represent full discount i.e. excludes mark down or sale products. Consequently we are unable to present the true level of discounting/full price sales historically.

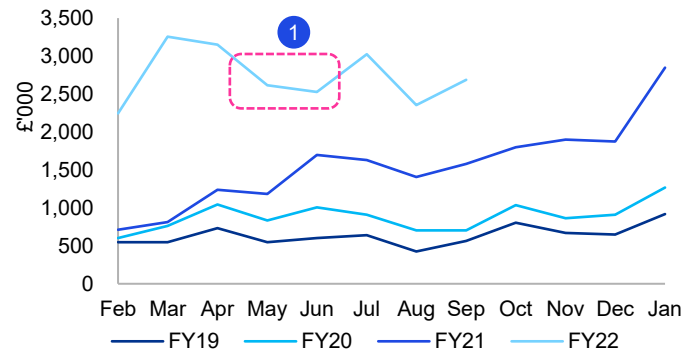
The boutique and concession sales line in the table opposite is net of any promotional discounts offered, although we understand that typically marked down sales is a much lower proportion of sales in boutiques compared with online, hence the lower gross margin % achieved within online sales.

Promotional discounts as a percentage of sales increased to 4.3% in FY21 as Y ran an online promotional code for 30% off in April 2020 due to the uncertainty surrounding Covid-19. This metric has decreased to 2.2% in LTM22 due to fewer promotional events given the level of website traffic and transactions.

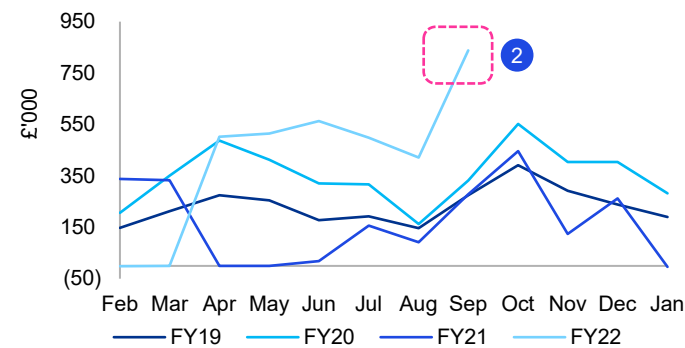
Business drivers — Revenue % seasonality

January is a strong month for online sales, as this is when the core end of season sale occurs. For the retail channel, revenue peaks at the start of each new SS and AW season in April - May and October. Revenue declines in August as customers tend to be on holiday, although the decline is less distinct for concessions, with demand driven by yy tourists. As the business accounts on a 4-4-5 basis, we have presented weekly sales in the revenue charts opposite to remove the impact of an additional week of trading.

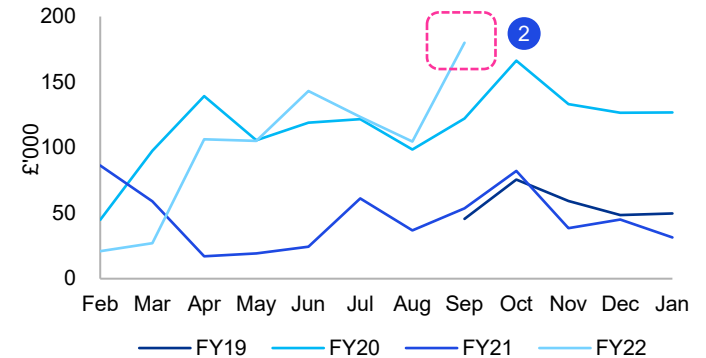
Revenue seasonality - online



Revenue seasonality - boutique



Revenue seasonality - concession



Source (all): P-L January 2019, P-L January 2020, P-L January 2021, P-L September 2021



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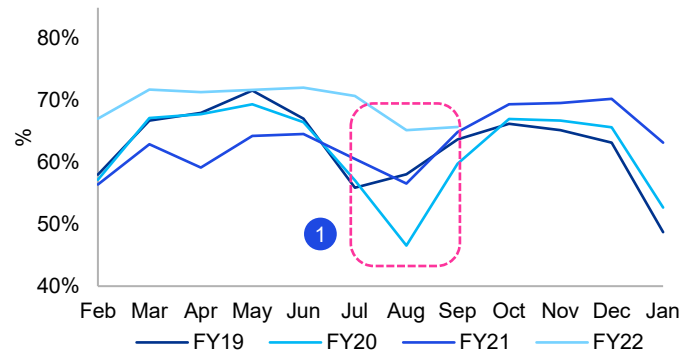
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Business drivers — Gross margin % seasonality

Online gross margin decreases in January, as this is when the core end of season sale occurs (albeit this was not as prominent in January 2021 due to the reduced level of discounting). The decline in the gross margin for boutiques is less pronounced in January as boutiques typically sell limited marked down product, with customers sales instead driven by full price new season. As the business accounts on a 4-4-5 basis, we have presented weekly sales in the revenue charts opposite to remove the impact of an additional week of trading.

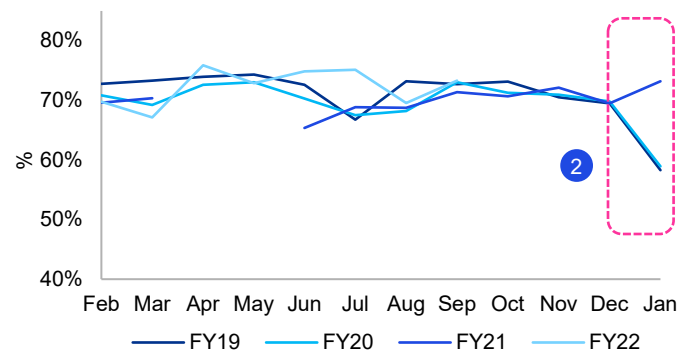
Revenue seasonality - online



1

Gross margin typically declines in August to coincide with the end of season sales.

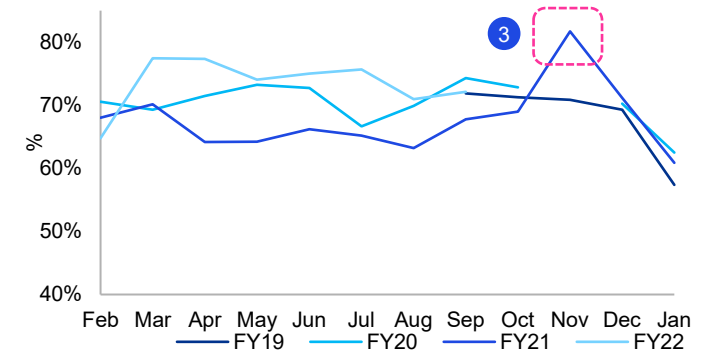
Revenue seasonality - boutique



2

Y moved away from selling marked down product in boutiques in January, as they determined customers were more interested in full price products.

Revenue seasonality - concession



3

The gross margin peak in November 2020 was due to a small misposting by management.

Source (all): P-L January 2019, P-L January 2020, P-L January 2021, P-L September 2021



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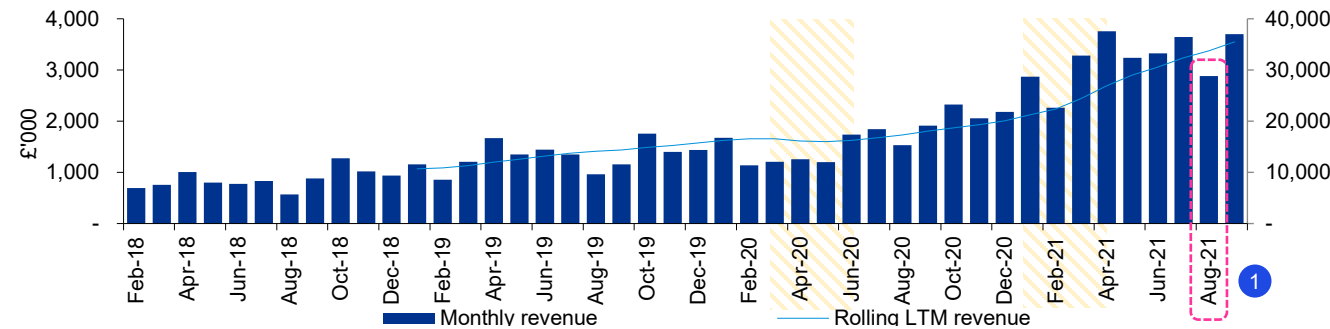
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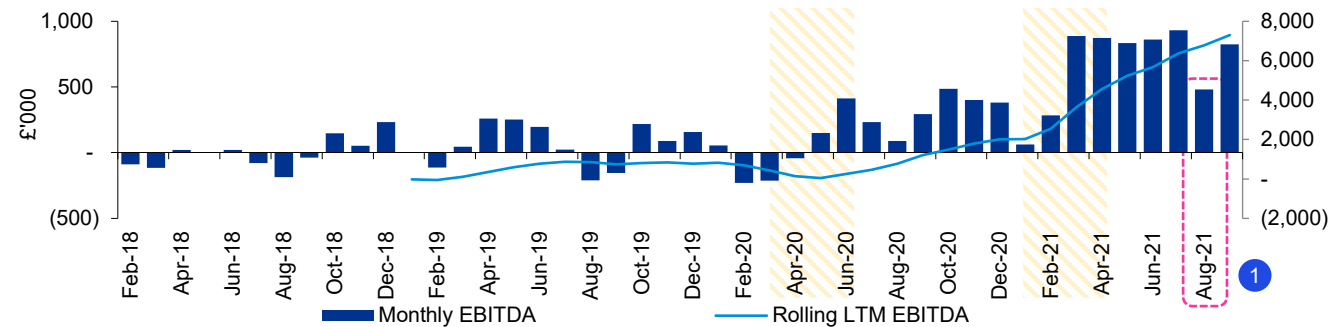
Business drivers — Rolling LTM revenue and EBITDA

Rolling LTM revenue has been on a clear growth trajectory, with LTM revenue increasing continuously with the exception of LTM revenue contraction between March - May 2020, (the first high street lockdown), returning to growth in June 2020 as high street retail reopened. EBITDA has followed a similar pattern, albeit took longer to return to pre March levels, due to the level of losses incurred during months when retail was closed (i.e. high level of fixed store costs versus nil revenue in the period).

Historical revenue



Historical EBITDA



Source: P-L January 2019, P-L January 2020, P-L January 2021, P-L September 2021

Period of high street store closure in accordance with the yy national lockdown



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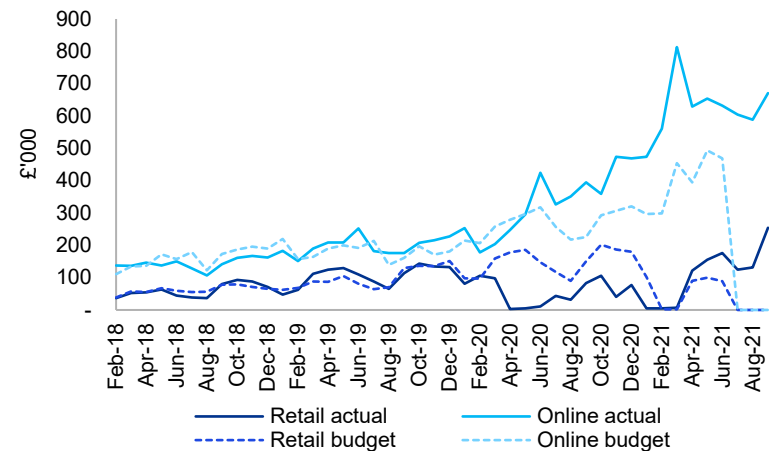
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Business drivers — Impact of Covid-19

Despite the reduction in revenue and contribution for the retail channel during the Covid-19 pandemic (driven by enforced high street store closures), Management has attempted to mitigate the risk of the pandemic on the business through the use of various government schemes and management of the cost base.

Although Management assert that the recent growth in the online channel is driven by investment in digital media and an expansion of the product range, online sales likely also benefitted from increased online demand, reflected in the reduction in CPA (cost per acquisition) for the period May – August 2020.

Weekly revenue compared with budget



Source: P-L January 2019, P-L January 2020, P-L January 2021, P-L September 2021.

Impact of Covid-19

Impact on retail revenue

The performance of the retail channel has been heavily impacted by the Covid-19 pandemic, with high street closures during the first (March 2020 – June 2020) and second (January 2021 – April 2021) yy lockdowns resulting in a significant loss of revenue. The decision was also made by Management to keep some boutiques closed in the period June 2020 – August 2020 (Boutique A, Boutique C and Boutique F), as footfall from tourists and commuters was deemed to remain negatively impacted from ongoing restrictions.

Impact on online revenue

Although the historical growth in the online channel is largely attributable to investment in digital media and the expansion of the product range, online revenue has also benefitted from the closure of high street stores amidst the Covid-19 pandemic driving increased online demand, which in part has resulted in actual performance significantly exceeding budget during the lockdown periods, albeit this has continued post lockdown.

Impact on costs

Elements of Y's cost base have been both positively and negatively impacted by the pandemic, including the following:

Rent reductions - Management was able to negotiate rent reductions with the landlords for the Boutique D, Boutique C, Boutique E and Boutique F boutiques (totalling £0.1 million).

International travel - Although the buying team typically visit suppliers once per quarter, there has been no international travel since the pandemic started.

Marketing - The cost per acquisition (CPA) declined in the period May – August 2020, which was driven by a combination of reduced digital media rates and the increase in online consumer demand.

Business drivers — Impact of Covid-19

Impact of Covid-19 (continued)

Impact on costs (continued)

Warehouse - Warehouse productivity declined in FY21 due to social distancing requirements within the Logistics A warehouse resulting in a slower picking speed.

Delivery – Y has incurred Covid-19 surcharges for delivery costs, particularly in yy.

Fabric costs – Management has observed an increase in fabric prices, particularly for yarn, during the Covid-19 pandemic and has attempted to mitigate the risk by pre-purchasing fabric in bulk to secure lower prices.

Government support

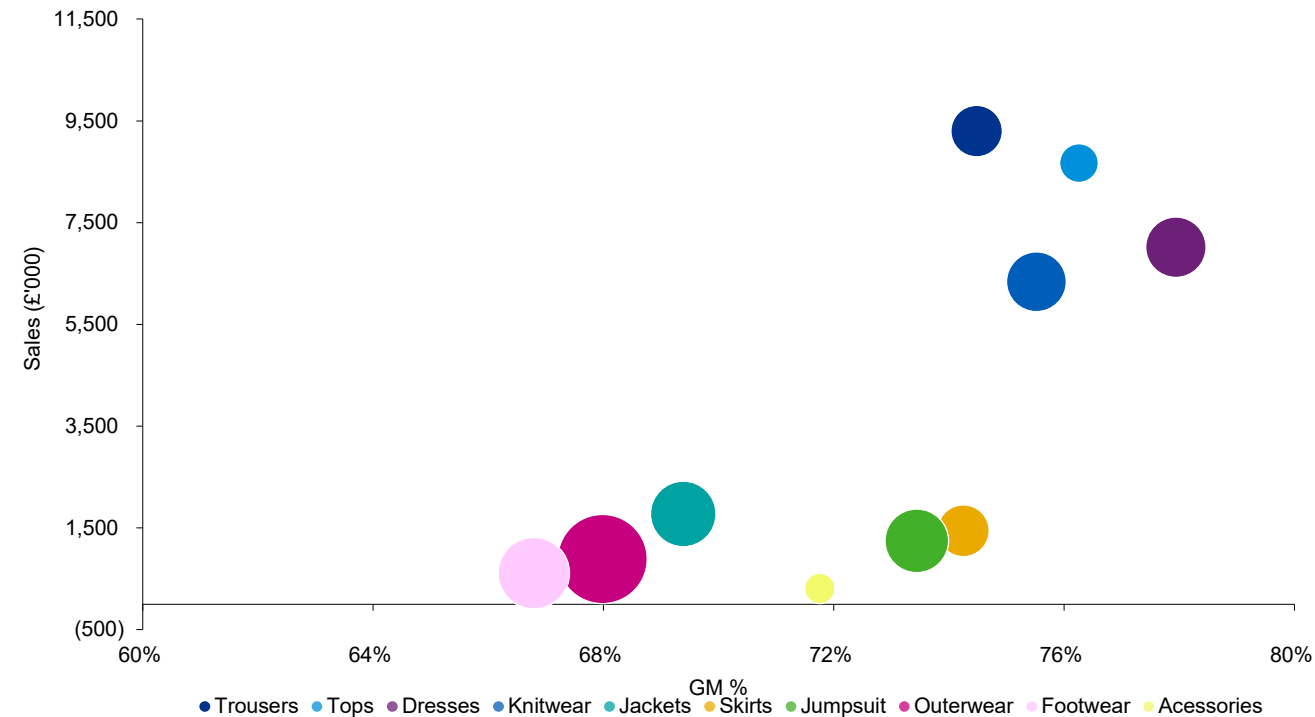
Y benefitted from a variety of government financial support schemes, including the following:

- Furlough payments were received from March 2020 to March 2021, largely relating to boutique and concession employees (totalling £0.4 million).
- All boutiques received a 100% rates holiday from March 2020 to June 2021 (totalling £0.5 million) and has received a 66% rates reduction from July 2021 which will extend to March 2022.
- The Boutique B and Boutique D boutiques received a small business grant from the government (£25,000) in August 2020 and April 2020 respectively.
- The VAT payment for the quarter ended February 2020 (£0.2 million) was deferred from April 2020 to March 2021.

Business drivers - Revenue and GM by product category (1)

Trousers, Tops, Dresses and Knitwear are by far the largest contributors to revenue in LTM22 (combined they represent 82.9% of sales). All four categories contribute a broadly similar gross margin percentage at between 74.5% trousers and 77.9% dresses. Footwear (sourced from yy) delivers the lowest margin at 66.8% despite its relatively high ASP (£211). Outerwear has the highest ASP at £333.

LTM22 sales and gross margin %



Source: Transactional level data

Note: (a) The bubble size represents the respective ASP

Business drivers - Revenue and GM by product category (2)

There has overall been an increase in the ASP at a total level and across each product category driven by a reduced level of discounting; inflationary increases; proportional increases in sales into yy and yy markets (which have a 20% mark up compared to yy market) and category specific amendments in the SKUs within the category e.g. Knitwear – a higher proportion of cashmere.

Product category analysis												
£'000	Sales				Gross profit %				ASP (£ actual)			
	FY19	FY20	FY21	LTM22	FY19	FY20	FY21	LTM22	FY19	FY20	FY21	LTM22
Trousers	3,321	3,676	5,418	9,301	65.3%	63.7%	69.8%	74.5%	89	84	97	109
Tops	2,918	3,858	4,628	8,671	67.5%	69.0%	71.8%	76.3%	55	54	59	61
Dresses	935	3,281	4,136	7,017	69.3%	72.9%	72.0%	77.9%	112	134	138	151
Knitwear	2,281	2,704	3,869	6,339	65.7%	65.9%	71.1%	75.5%	94	92	140	148
Jackets	345	835	1,376	1,775	65.1%	66.9%	64.5%	69.4%	162	165	161	178
Skirts	413	1,000	969	1,442	69.9%	69.9%	66.0%	74.3%	80	90	86	111
Jumpsuit	61	462	754	1,248	64.1%	64.3%	71.6%	73.4%	154	129	159	168
Outerwear	385	584	550	887	55.4%	66.7%	63.3%	68.0%	275	373	311	333
Footwear	-	-	219	614	-	-	63.6%	66.8%	-	-	183	211
Accessories	140	128	197	312	60.4%	64.7%	66.6%	71.8%	46	54	37	38
Other	172	184	105	200	74.4%	75.9%	85.4%	89.9%	53	66	83	103
Total	10,969	16,713	22,220	37,806	66.2%	67.9%	70.2%	75.2%	79	86	98	105
Key performance indicators (%)		As % of sales				As % of gross profit				% movement - ASP		
Trousers	30.3%	22.0%	24.4%	24.6%	29.8%	20.7%	24.2%	24.4%	n/a	(5.6)%	15.3%	12.7%
Tops	26.6%	23.1%	20.8%	22.9%	27.1%	23.5%	21.3%	23.3%	n/a	(2.3)%	9.4%	3.7%
Dresses	8.5%	19.6%	18.6%	18.6%	8.9%	21.1%	19.1%	19.2%	n/a	19.4%	2.7%	9.9%
Knitwear	20.8%	16.2%	17.4%	16.8%	20.6%	15.7%	17.6%	16.8%	n/a	(1.9)%	52.8%	5.5%
Jackets	3.1%	5.0%	6.2%	4.7%	3.1%	4.9%	5.7%	4.3%	n/a	2.4%	(2.9)%	10.8%
Skirts	3.8%	6.0%	4.4%	3.8%	4.0%	6.2%	4.1%	3.8%	n/a	13.1%	(4.8)%	29.2%
Jumpsuit	0.6%	2.8%	3.4%	3.3%	0.5%	2.6%	3.5%	3.2%	n/a	(15.7)%	23.0%	5.3%
Outerwear	3.5%	3.5%	2.5%	2.3%	2.9%	3.4%	2.2%	2.1%	n/a	35.6%	(16.6)%	7.0%
Footwear	-	-	1.0%	1.6%	-	-	0.9%	1.4%	n/a	n/a	n/a	15.6%
Accessories	1.3%	0.8%	0.9%	0.8%	1.2%	0.7%	0.8%	0.8%	n/a	17.3%	(30.9)%	1.9%
Other	1.6%	1.1%	0.5%	0.5%	1.8%	1.2%	0.6%	0.6%	n/a	23.0%	26.5%	24.4%

Source: Transactional level data



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Overview

Product sales mix

The largest four product categories in all years across the historical period are trousers, tops, dresses and knitwear. There has been a proportional increase in dresses, with a proportional decrease in the other three captions.

- Dress sales grew significantly across the historical period as management recognised this was a category that they were not fully serving. Consequently there was a soft launch/higher investment during H1 FY20.
- The proportional sale of trousers, tops and knitwear have declined due to the success of dresses, jumpsuits and the launch of footwear in July 2020.

Management attributes the reduction in the ASP of a number of categories in FY20 e.g. Trousers, Tops, Knitwear, Jumpsuits to a higher level of discounting than FY19. Please note the ASP numbers presented are net of VAT/sales tax.

Business drivers - Revenue and GM by product category (3)

Overview (continued)

GM sales mix

The gross margin improvement in LTM22 is predominantly driven by increased buying power and a higher proportion of sales being at full price, due to supply exceeding demand in lots of instances.

The buying power of Y increased in LTM22 following the introduction of a new Production Director in 2020, who leveraged existing supplier contacts and experience to widen the supplier base and negotiate lower purchase prices.

- The increase in buying power is also partially attributable to the growth of the business (i.e. economies of scale).

Specific movements

Trousers: During the historical period the yy increased at a lower rate than for Y as a whole i.e. £89 in FY19 to £101 in LTM22. The remaining increase is predominantly explained by the proportional increase in yy and yy sales market with ASP of £165 and £128 respectively in LTM22.

Dresses: During FY19 the ASP was lower than subsequent periods due to the mix of products and relatively soft launch. However since this point regional ALogistics B have stabilised and thus the ASP variances are predominately linked to the proportional importance of yy and yy which had an ASP of £207 and £191 respectively compared to £137 in the yy during LTM22.

Knitwear: The average selling price of knitwear increased from £94 in FY19 to £148 by LTM22. This is predominantly explained by a mix change with eight of the top 10 sales contributors in LTM22 being cashmere products, opposed to just one cashmere product featuring in the top 10 in FY19.

Skirts: The average selling price of skirts increased both due to reduction in the level of discounting and product mix. Nine of the top 10 revenue contributors in LTM22 had average sales values of in excess of £120 per unit, six of which were new in LTM22 and the other three new in FY21.

Jumpsuits: Jumpsuits sales increased from £61,000 in FY19 to £1.2 million in LTM22 due to expansion of the category from 2 SKUs to 47.

Other: Other delivered a gross margin percentage of 89.9% in LTM22 as it predominantly relates to gift vouchers which attract a 100% gross margin% (as there is no cost associated with them).

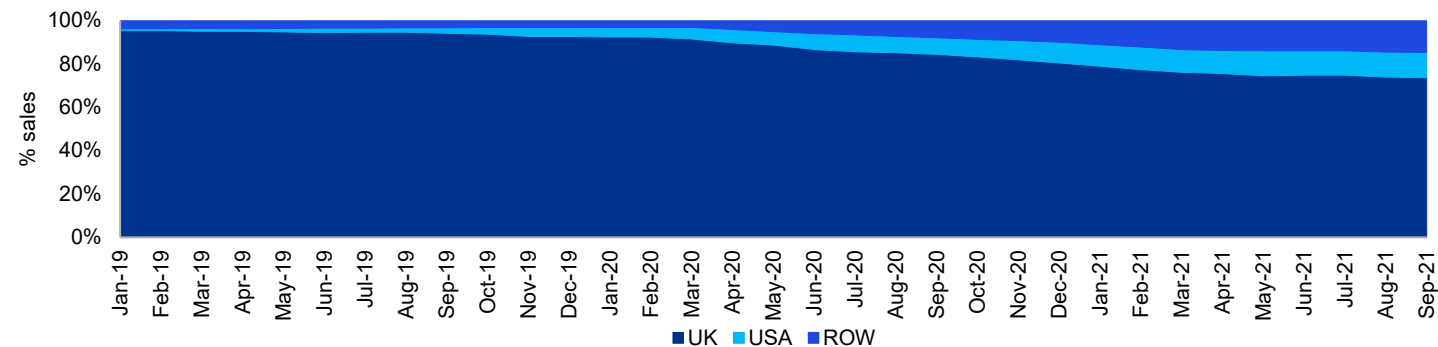
Business drivers - Revenue and GM by region

Whilst yy remains by far the largest market for Y and whilst it has continued to grow in absolute terms (£10.5 million in FY19 to £27.9 million in LTM22) it has reduced as a proportion of total sales from 95.5% to 73.7%. This has arisen both due to growth in yy (10.8 pts as a proportion of total sales) and yy (10.9 pts as a proportion of total sales). The growth in the yy has been assisted by the launch of a yy website in March 2019; the yy has been supported by the use of Global E from February 2021. During the historical period Y had sales in 120 different geographies.

Geography analysis												
£'000	Sales				Gross profit %				ASP (£ actual)			
	FY19	FY20	FY21	LTM22	FY19	FY20	FY21	LTM22	FY19	FY20	FY21	LTM22
UK	10,473	15,464	17,563	27,871	66.2%	67.4%	69.1%	73.3%	79	84	93	96
USA	99	731	2,215	4,432	67.9%	80.0%	81.1%	82.9%	86	141	164	156
Australia	53	76	382	1,004	67.0%	64.6%	66.2%	79.1%	88	81	98	133
Ireland	76	111	435	788	66.3%	67.2%	70.0%	78.0%	76	85	101	118
Germany	22	29	135	373	65.9%	65.3%	70.1%	77.7%	88	89	105	126
Switzerland	25	26	176	347	67.9%	67.1%	69.7%	78.7%	88	85	109	133
France	32	35	119	285	63.9%	62.7%	69.2%	78.7%	76	77	102	132
Canada	14	2	59	272	63.7%	60.5%	68.4%	82.8%	77	74	104	162
Belgium	7	10	72	195	67.3%	65.2%	69.2%	79.5%	86	82	106	145
Netherlands	11	20	89	189	63.9%	66.8%	68.9%	78.1%	80	80	100	126
Top 10 geographies	10,811	16,504	21,246	35,754	66.2%	67.9%	70.3%	75.0%	80	86	98	103
Other geographies (110)	158	208	974	2,052	66.2%	67.2%	68.7%	78.6%	77	87	101	130
Total per database	10,969	16,713	22,220	37,806	66.2%	67.9%	70.2%	75.2%	79	86	98	105

Of the top 10 geographies in LTM22, the yy attracts the lowest gross margin. The yy and yy have the highest margin as Y adds a mark-up from the yy price point. Please note, however, this is prior to the allocation of associated carriage costs.

LTM sales by region



Source (all):



Transactional level data

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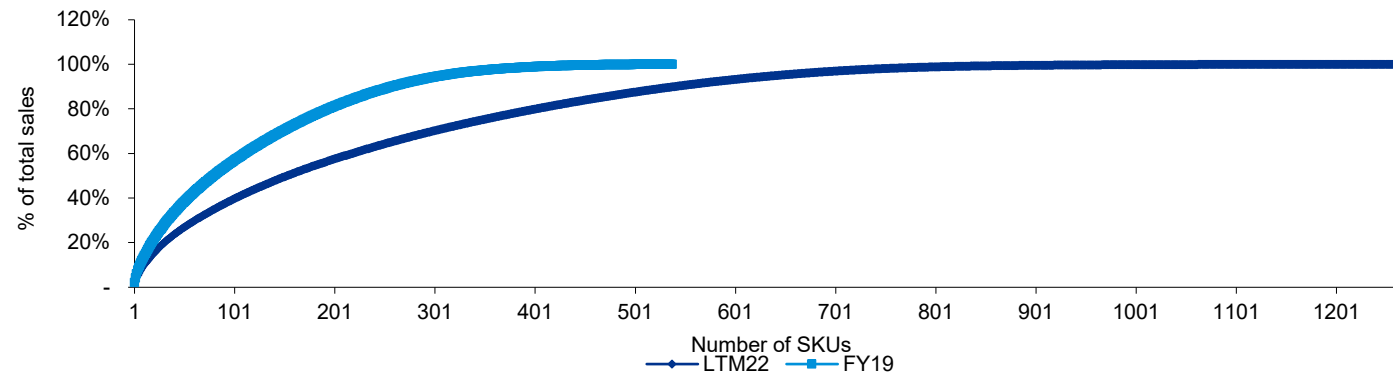
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Business drivers – SKU concentration

The number of SKUs sold by Y has increased significantly over the historical period from 538 in FY19 to 1,273 in LTM22.

Consequently the level of concentration on the top SKUs has reduced, with the top 100 SKUs reducing as a proportion of sales from 56.7% in FY19 to 39.6% in LTM22; on a gross profit basis, this equates to 58.6% and 40.7% respectively.

SKU Pareto LTM22 - Sales



SKU Concentration					
%	Total				Var.
	FY19	FY20	FY21	LTM22	
Total number of unique SKUs sold	538	707	986	1,273	735
Top 10 SKUs % of total sales	13.5%	9.5%	8.4%	9.9%	(3.6)%
Top 10 SKUs % of total gross profit	14.2%	10.2%	8.8%	10.1%	(4.1)%
Top 50 SKUs % of total sales	38.1%	29.7%	26.3%	26.8%	(11.3)%
Top 50 SKUs % of total gross profit	39.6%	31.3%	27.4%	27.5%	(12.2)%
Top 100 SKUs % of total sales	56.7%	46.5%	40.5%	39.6%	(17.1)%
Top 100 SKUs % of total gross profit	58.5%	48.3%	42.1%	40.7%	(17.9)%
Top 250 SKUs % of total sales	89.0%	77.2%	67.0%	64.3%	(24.7)%
Top 250 SKUs % of total gross profit	90.4%	79.0%	69.0%	65.8%	(24.6)%
Top 500 SKUs % of total sales	99.9%	98.3%	91.2%	87.5%	(12.4)%
Top 500 SKUs % of total gross profit	100.0%	98.9%	92.5%	88.7%	(11.2)%

Source (all):



Transactional level data

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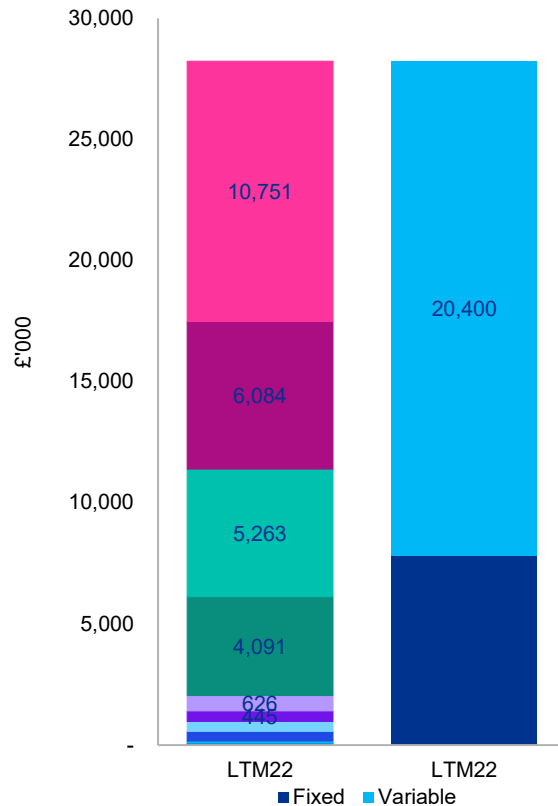
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Cost base - Overview

The majority of the cost base is variable in nature, representing approximately 72.3% of total costs in LTM22. Direct costs includes cost of sales and costs associated with fulfilment such as warehouse and delivery charges. Management estimates that the majority of overheads are fixed in nature. However, marketing costs are largely variable as they predominantly relate to PPC and the cost of producing and posting brochures to yy and yy customers.

Cost base



Cost area	Overview
Cost of sales	Variable – The cost of sale is inclusive of the cost of the garment purchased, freight costs and customs duties in addition to stock provisions and FX gains and losses made on purchases at the point of payment. The balance is partially offset by the cost of goods relating to returns which have been provided for at month end.
Direct costs	Variable (36.3%) – Direct variable costs predominantly relate to warehouse and delivery costs, with a partial offset for any delivery income received. Variable costs also relate to merchant fees and Global E fees as well as concession occupancy costs which are charged as a percentage of sales (with a minimum guarantee) Fixed (63.7%) – Direct fixed costs predominantly relate to staff costs at the boutiques and concessions as well as occupancy costs at the boutiques.
Marketing	Variable – Marketing costs largely relate to digital media and the costs associated with acquiring customers online through PPC, in addition to the cost of producing and posting brochures to yy and yy customers. Marketing also includes public relations costs.
Staff costs	Fixed – Staff costs includes the salaries and associated payroll costs and benefits for head office employees. This also includes third party freelancers are used for roles impacted by seasonality, such as designers.
Photography	Fixed – Photography costs are inclusive of all costs relating to photoshoots such as models, stylists, and licences for using the imagery on websites and in brochures.
IT	Fixed – Predominantly relates to license fees for Magento (E-commerce platform) and Optimove (CRM) as well as other general software licenses and support.
General	Fixed – Predominantly relates to Freight B fees for shipping samples and fabrics between head office and international suppliers as well as recruitment costs (since FY21), subscriptions and general office expenses.
Head office occupancy	Fixed – Relates to the rent and rates at the head office, plus associated costs such as utilities and maintenance.
Travel and entertainment	Fixed – Travel and entertainment costs predominantly relate to international and yy travel, but also includes staff entertaining costs such as costs associated with the Christmas Party.
Professional	Fixed – Professional costs largely relate to legal fees, audit fees, advisory fees and insurance renewal fees.

Source: P-L January 2019, P-L January 2020, P-L January 2021, P-L September 2021

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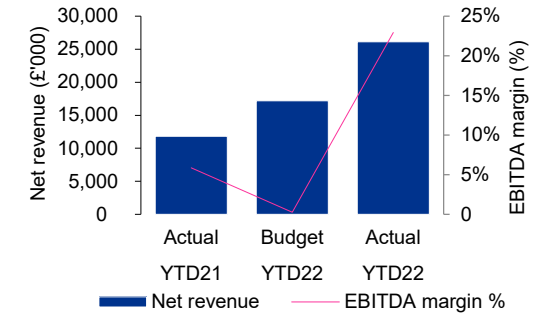
Forecast trading

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Current trading and run rate

Y has performed strongly in YTD22, significantly outperforming YTD21 and YTD22 budget performance at both a revenue and EBITDA level. The contribution margin also improved driven by high demand reducing the requirement to discount as well as additional warehouse efficiencies. The overhead cost base has been effectively leveraged, generating EBITDA of £6.0 million in YTD22.

YTD22 performance					
£'000	YTD21	YTD22	YTD22	Variance	
	Actual	Budget	Actual	Act vs PY	Act vs Bud
Revenue					
Online	10,266	14,931	21,850	11,585	6,919
Boutiques	1,217	1,791	3,430	2,213	1,640
Concessions	358	442	811	452	368
Net revenue	11,841	17,164	26,091	14,250	8,927
Cost of sales	(4,435)	(5,925)	(7,717)	(3,281)	(1,792)
Gross profit	7,406	11,239	18,375	10,969	7,135
Direct costs	(2,267)	(3,844)	(4,318)	(2,051)	(475)
Contribution	5,139	7,396	14,056	8,918	6,661
Overheads					
Customer costs	(1,703)	(3,743)	(4,135)	(2,432)	(392)
Staff costs	(1,793)	(2,467)	(2,591)	(798)	(124)
Other overheads	(949)	(1,136)	(1,353)	(404)	(217)
Total overheads	(4,445)	(7,346)	(8,079)	(3,634)	(732)
Reported EBITDA	694	50	5,978	5,284	5,928
Key performance indicators (%)					
Gross margin %	62.5%	65.5%	70.4%	7.9ppt	4.9ppt
Contribution margin	43.4%	43.1%	53.9%	10.5ppt	10.8ppt
EBITDA margin %	5.9%	0.3%	22.9%	17.1ppt	22.6ppt



1

Online revenue was £6.9 million and £11.6 million favourable to budget and prior year, respectively. This was driven by significant return customer growth in yy as well as new customer acquisition in yy and yy territories.

2

Owing to uncertainty around the Covid-19 pandemic, Management were particularly cautious when budgeting retail sales for FY22. We note that the budget assumed non-essential retail reopened at the beginning of week 9 (i.e. start of April 2021) however stores actually reopened in week 11.

Increased brand awareness and product range drove higher customer acquisition and increased existing customer purchases which also contributed to boutiques and concessions exceeding budget and prior year.

3

Direct costs as a percentage of net revenue in YTD22 were 16.6% compared to a budgeted rate of 22.4% predominantly driven by significantly higher sales than budget leveraging the fixed elements of direct costs (e.g. staff and boutique occupancy costs) as well as an improved picking system and cost savings of changing 3PL provider to Logistics C.

4

YTD22 overheads were budgeted to be significantly higher than YTD21 to facilitate higher sales. YTD22 overheads were higher than budget due to customer costs (£0.4 million) to drive online sales, staff costs (£0.1 million) to facilitate increased sales and general costs (£0.1 million) pertaining to higher than expected recruitment and sample postage costs.

5

YTD22 budget EBITDA was assumed to be low, in line with historical seasonality. Prior to FY22, YTD EBITDA is typically negative, particularly in February and August, due to a low gross profit margin driven by high return rates and the end of season sales in August. Sales are also typically at their lowest in February, March and August prior to the launch of the SS and AW ranges in April and October respectively.

This was not the case in YTD22 where high demand drove high sales and no requirement to discount.

6

YTD22 gross profit margin is particularly high due to high sales demand reducing the requirement to discount. Management has assumed gross profit margin will reduce in the forecast period in line with trading conditions historically experienced.

Historical budgeting accuracy

Historical budgeting accuracy has been inconsistent, although we note that Y has experienced high levels of revenue growth (CAGR: 140.8%) and has been operating within a disruptive retail market. Overall, FY19 and FY20 budgets were relatively accurate at a gross / contribution margin level.

FY21 was heavily impacted by Covid-19, although EBITDA impact was minimal as the business shifted towards online and mitigated costs.

Budgeting accuracy												
£'000	FY19				FY20				FY21			
	Actual	Budget	Var (£/%)		Actual	Budget	Var (£/%)		Actual	Budget	Var (£/%)	
Revenue												
Online	7,665	8,639	(974)	(11.3)%	10,653	9,833	820	8.3%	18,680	14,532	4,149	28.5%
Boutiques	2,796	3,246	(451)	(13.9)%	4,232	4,106	125	3.0%	2,048	6,298	(4,251)	(67.5)%
Concessions	279	-	279	n/a	1,401	1,150	252	21.9%	556	1,677	(1,121)	(66.8)%
Net revenue	10,740	11,886	(1,146)	(9.6)%	16,285	15,088	1,197	7.9%	21,284	22,507	(1,223)	(5.4)%
Cost of sales	(3,778)	(4,183)	405	(9.7)%	(5,706)	(5,403)	(302)	5.6%	(7,470)	(7,096)	(374)	5.3%
Gross profit	6,962	7,703	(741)	(9.6)%	10,580	9,685	894	9.2%	13,814	15,411	(1,597)	(10.4)%
Direct costs	(2,486)	(2,415)	(71)	2.9%	(3,572)	(3,787)	214	(5.7)%	(4,033)	(5,472)	1,439	(26.3)%
Contribution	4,476	5,288	(812)	(15.4)%	7,007	5,899	1,109	18.8%	9,781	9,938	(158)	(1.6)%
Overheads												
			-	n/a			-	n/a			-	n/a
Marketing	(1,295)	(1,091)	(204)	18.7%	(2,118)	(1,689)	(429)	25.4%	(2,831)	(2,903)	73	(2.5)%
Staff Cost	(2,025)	(2,523)	498	(19.7)%	(2,719)	(2,610)	(109)	4.2%	(3,294)	(3,367)	74	(2.2)%
Other overheads	(1,103)	(1,047)	(56)	5.3%	(1,353)	(1,244)	(109)	8.7%	(1,635)	(1,675)	41	(2.4)%
Total overheads	(4,423)	(4,661)	238	(5.1)%	(6,191)	(5,543)	(648)	11.7%	(7,759)	(7,946)	187	(2.4)%
Reported EBITDA	53	627	(574)	(91.6)%	816	355	461	129.7%	2,021	1,992	29	1.5%

Budgets presented here represent original budgets finalised prior to period start. The budget setting process is outlined in the reporting section.

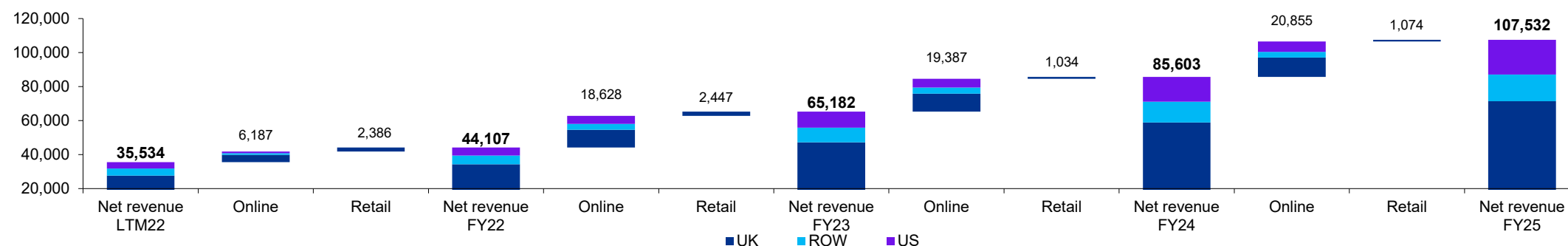
Key performance indicators (%)

Gross margin %	64.8%	64.8%	0.0ppt	65.0%	64.2%	0.8ppt	64.9%	68.5%	(3.6ppt)
Contribution margin %	41.7%	44.5%	(2.8ppt)	43.0%	39.1%	3.9ppt	46.0%	44.2%	1.8ppt
EBITDA margin %	0.5%	5.3%	(4.8ppt)	5.0%	2.4%	2.7ppt	9.5%	8.9%	0.6ppt

Forecast revenue bridge

The majority (90.4%) of assumed growth is attributable to the online channel which is driven by new customer acquisition, with the majority of growth coming from yy market (£36.8 million). Retail growth is driven by improved LFL performance and the full year effect of non-essential retail reopening and the Department store B concession, along with the assumed opening of new boutiques at the beginning of FY24 and FY25, with growth in existing boutiques assumed at 2% per annum.

LTM22-FY25 forecast revenue bridge (£'000)



Online

[Read more](#)

LTM22 – FY22: FY22 online sales is consistent with current trends.

FY22 – FY23: FY23 growth is the highest annual percentage increase driven by a higher customer acquisition. Higher growth rates have been assumed in yy and yy to reflect the lower brand awareness in these territories.

FY23 – FY25: Management has assumed slower growth rates in FY24 and FY25 which it believes reflects the maturation of the Y brand in these territories.

Retail

[Read more](#)

LTM22 – FY22: FY22 revenue growth is primarily driven by improved LFL improvement which offsets the average decline in boutiques. Concession revenue growth is driven by Y opening a Department store B concession in May 2021.

FY22 – FY23: FY23 growth is driven by the full year effect of non-essential retail reopening and the Department store B concession.

FY23 – FY25: Management has assumed a new boutique opening at the beginning of FY24 and FY25 which drives the majority of retail net revenue growth.

Source: Management accounts; 6.1.5.4_Y 5YP Model 03112021



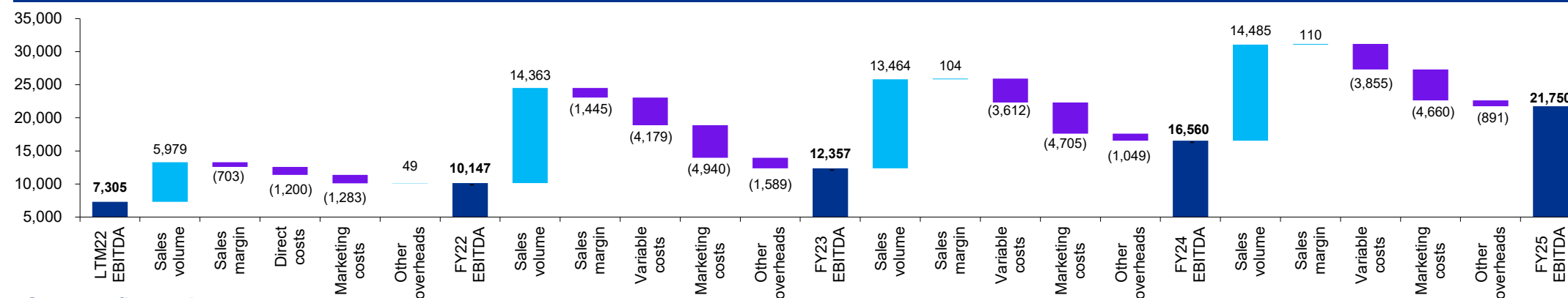
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Forecast EBITDA bridge

EBITDA is assumed to increase by £14.4 million (38.7% CAGR) over the forecast period, driven by strong sales growth. Gross profit margin is assumed to decline in FY22 and FY23 to guard against any potential requirement to discount, however Management believe the current gross profit margin is sustainable, as evidenced by performance since shops have reopened. Overheads are assumed to increase predominantly driven by staff, occupancy, website management and merchant fees.



Gross profit margin

LTM22 gross profit margin was particularly high due to limited discounting as a result of high full price sell through.

Gross profit margin is assumed to decline from 69.7% in LTM22 to 65.9% in FY23 (66.1% and 66.2% in FY24 and FY25, respectively) reflecting more typical trading conditions from FY23 onwards.

[Read more](#)

Direct costs

Assumed to increase in line with net revenue in the forecast period driven by proportionately increased warehouse and fulfilment costs due to a higher mix of online sales; offset by improved contribution margin from the retail portfolio primarily driven by better leverage of staff and occupancy costs which are both assumed to be relatively fixed in the forecast period.

[Read more](#)

Marketing costs

The forecast assumes significantly higher marketing costs to facilitate assumed customer acquisition. CPAs are assumed to increase in each period to reflect a less efficient marketing spend as the business scales and diversifies marketing channels (e.g. SEO and PPC).

[Read more](#)

Other overheads

Growth is predominantly driven by staff costs relating to a higher head office headcount to support the growth of the online channel. Head office occupancy costs are assumed to increase by £0.4 million as a result of a larger head office since May 2021 and a relocation to larger premises assumed to take place in February 2023.

The remaining overhead captions are assumed to increase over the forecast period to facilitate business growth.

[Read more](#)

Upsides and sensitivities (1/5)

During our analysis of Management's forecast assumptions we have identified potential areas of upside and sensitivities to the forecast plan.

	Detail	Potential EBITDA impact
yy customer acquisition	- The yy online net revenue forecast is underpinned by new customer acquisition. Management has assumed new customer growth to be lower in the forecast period (38.8% CAGR) compared with historical performance (46.4% CAGR). - yy customer acquisition is supported by higher assumed customer acquisition costs in the forecast and we also note that assumed CPAs increase over the forecast at a greater rate than new customer revenue growth and new customer revenue growth is slower than has been achieved historically. However, there is a potential risk/ upside if customer behaviour was to alter in a post Covid-19/less Covid-19 impacted environment. - We have not sought to quantify the impact of higher or lower customer acquisition on the basis that the commercial due diligence report is supportive of customer acquisition assumptions, albeit it relies on continued marketing investment and CPAs to remain in line with the assumed rates.	n/a
yy revenue growth	- Significant growth is assumed for the yy online channel, based on the Management assumption that there is a large affluent addressable market. - The commercial due diligence report is supportive of the market opportunity in yy but notes that there is no dedicated team to drive yy growth or infrastructure to drive expansion. Management believes there is sufficient assumed headcount in yy to generate assumed growth in all territories. We note that there is a limited track record to support the forecast assumptions on orders per orderer and AOV, however, Customer acquisition would again appear to be supported by higher customer acquisition costs. - We have not sought to quantify the impact of higher or lower customer acquisition however we have proposed a potential sensitivity to reflect the EBITDA impact if orders per orderer was to remain in line with FY21 levels. This would represent a £0.1 million, £0.2 million, £0.3 million and £0.4 million EBITDA reduction in FY22, FY23, FY24 and FY25, respectively.	£1.0m



Upsides and sensitivities (2/5)

During our analysis of Management's forecast assumptions we have identified potential areas of upside and sensitivities to the forecast plan.

	Detail	Potential EBITDA impact
yy revenue	- High revenue growth has also been assumed for the yy online channel. Whilst Management has identified a number of potential territories on which to focus, there is no specific geographical assumptions in the model. - The commercial due diligence report has stated the difficulty in assessing forecast assumptions given there are not defined territories, however notes that there is opportunity in the markets identified by Management (e.g. yy). - We believe customer acquisition is supported by assumed investment in customer acquisition costs in the forecast. Similarly to yy market, there is a limited track record to assess forecast assumptions with, especially given yy consists of a number of territories. - We have not sought to quantify the impact of higher or lower customer acquisition. We do note the inherent risk around all forecast assumptions based on the limited track record as well as the fact that there is no specific assumption on which territories Management intends to focus on.	n/a
yy customer quality	- Management has assumed that yy orders per orderer will decline over the forecast period from 1.98 in FY21 to 1.85 in FY25. This is based on the assumption that the quality of customer will decrease as the customer base increases. - Orders per orderer have increased from 1.84 in FY19 to 1.98 in FY21. We note that Management intends to implement a new CRM and customer analytics system. We therefore note that the assumed decline is not in line with historical performance (albeit this may have been impacted by Covid-19) or Management incentives. - Assuming orders per orderer rates remained in line with FY21 and assumed contribution margin was achieved, this would represent a potential EBITDA upside of £0.3 million, £1.2 million and £2.2 million in FY23, FY24 and FY25, respectively.	£3.7m



Upsides and sensitivities (3/5)

During our analysis of Management's forecast assumptions we have identified potential areas of upside and sensitivities to the forecast plan.

	Detail	Potential EBITDA impact
yy AOV	- Management has assumed existing customer AOV to be £219, £220 and £225 in FY23, FY24 and FY25, respectively and new customer AOV to be £206, £208 and £212 in FY23, FY24 and FY25, respectively. - Management has stated that YTD22 yy blended AOV is £244 which is in excess of that assumed in the forecast. Management is implementing a number of initiatives in the forecast period, for example investment in a new analytics partner (yy) and stretching the price architecture to fill more premium price points with the view to increase AOVs. - We have proposed a potential upside to reflect the EBITDA impact if yy AOV was to remain in line with the six month period to May 2021. This could potentially generate a £0.6 million EBITDA increase in FY23 and FY24 and a £40,000 uplift in FY25 if assumed contribution margins are maintained.	 £1.2m
Boutique I	- Management has assumed Boutique I will open and Boutique A will close in February 2022, however Y was outbid for the original planned site. Management has stated that it is looking for suitable sites however may decide to stay at Boutique A beyond February 2022 if a suitable site cannot be found. - Based on current LFL performance, the Boutique A boutique is on course to generate the same level of sales as assumed for Boutique I and, due to the smaller boutique footprint, the cost base is also lower. Management has stated that the move to Boutique I would be EBITDA neutral as the sales up lift of moving to Boutique I would likely be offset by lower contribution margin due to the higher staff and occupancy costs. - We have not sought to quantify the EBITDA impact of moving to an alternative boutique on the basis that a site has not been identified and therefore the cost base nor the associated uplift in sales can be estimated accurately. We note that the forecast includes £175,000 of capex associated to the opening of the Boutique I store. To the extent that Management decides to continue trading from Boutique A, this would represent a cash upside to the model.	 £0.2m

Upsides and sensitivities (4/5)

During our analysis of Management's forecast assumptions we have identified potential areas of upside and sensitivities to the forecast plan.

	Detail	Potential EBITDA impact
Gross profit margin	- Management has assumed varying gross profit margins by channel in the forecast period. Assumed gross profit margins for all channels are lower than has been achieved in LTM22 and YTD22 but typically higher than achieved in FY20 (the last normal trading year). This assumption has been included to guard against any potential future requirement to discount in the forecast period. - Assessing gross profit margin in the forecast period is difficult as it is not possible to determine what normalised trading conditions will be and what level of discounting will be required. We note that Management considers trading post stores re-opening has now normalised and have indicated that the FY23 intake margin is 1.5 pts greater than in FY20. - We believe the gross profit margin assumptions in the forecast period (average 66.1% in FY23, FY24 and FY25) are not unreasonable given that Y has achieved better gross profit margin in recent trading (LTM22; 69.7%, YTD22; 70.4%). There is however a risk that the requirement to discount may be greater than assumed (i.e. in line with FY20 (65.2%)), and therefore gross profit margin may be lower than assumed. - Given the uncertainty outlined opposite, actual gross profit margin in the forecast period could potentially be better or worse than assumed in the forecast. We have therefore calculated an illustrative EBITDA impact if there was to be a 1.0 ppt increase or decrease in the gross profit margin achieved. A 1.0 ppt movement could generate an EBITDA upside or downside of £0.4 million, £0.7 million, £0.9 million and £1.1 million in FY22, FY23, FY24 and FY25, respectively.	£3.1m 
Concession revenue	Management has assumed that relationships with Department store A and Department store B continue in the forecast period. We note that whilst current performance is behind budget, Department store B performance is heavily dependent on international tourism to yy, which should recover in the near future. Assumed contribution is £0.2 million and £0.1 million for Department store A and Department store B, respectively in each period in the forecast.	£0.6m 

Upsides and sensitivities (5/5)

During our analysis of Management's forecast assumptions we have identified potential areas of upside and sensitivities to the forecast plan.

	Detail	Potential cash impact
Stock days	- Management has assumed forecast average stock days to be 132, 139 and 143 in FY23, FY24 and FY25, respectively compared with an average of 110 days in the historical period. - We believe assumed stock days appear to be relatively high, despite the high stock turn since Summer 2020. We also note that average days are higher than in FY20 (107), the last full pre-Covid period. - We have calculated the illustrative cash impact that a one day decrease in average stock days would generate which equates to a £44,000, £58,000, £72,000 and £105,000 cash upside per day at January 2022, 2023, 2024 and 2025, respectively.	 £0.3m
Accruals	- Management has assumed all accrual balances (with the exception of the increased bonus accrual) will remain flat, at September 2021 levels, in the forecast period. A proportion of accruals relate to ongoing business expenses such as Social media A costs, packaging and merchant fees we would expect a portion of the accruals balance to increase broadly in line with business growth. - We have identified accruals relating to costs we would expect to increase with business growth and grossed them up by the increase in the central overhead costs base (excluding staff costs). This generates an illustrative cash downside of £0.1 million at January 2022 (as September was a high month for accruals due to timing of month end) but cash upsides of £0.1 million, £0.3 million and £0.5 million at January 2023, 2024 and 2025, respectively.	 £0.9m
yy returns provision	- Management has not recognised a returns provision for yy returns. Instead the model assumes that returns are made in the month of sale. An element of yy returns will come in the proceeding months and therefore this is not a realistic assumption. - We have calculated the impact of the forecast including a yy returns provision based on the same methodology that has been used to calculate yy and yy provisions. This generates an illustrative cash upside of £0.3 million, £0.6 million and £0.8 million at January 2023, 2024 and 2025, respectively.	 £1.7m

4.

Balance sheet

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Balance sheet overview (1/2)

As at September 2021, net assets primarily comprised £1.2 million in fixed assets, £(4.4) million in net working capital and £12.7 million in net cash.

Net working capital has decreased from £(0.2) million at January 2019 to £(4.4) million at September 2021, largely driven by factors associated with business growth such as an increase in the trade creditor balance, the returns provision, the VAT liability (paid in January, April, July and October) and the bonus accrual.

Summary balance sheet				
£'000	Jan-19	Jan-20	Jan-21	Sep-21
Fixed assets				
Plant and machinery	215	554	459	372
Office equipment	80	80	69	85
Warehouse	-	-	-	94
Website	191	360	355	330
IT Systems	155	270	258	228
Trademarks	-	-	-	56
Fixed assets	640	1,265	1,141	1,166
Net working capital				
Stock	1,066	2,301	2,926	5,772
Debtors	(50)	255	(86)	790
Prepayments & other debtors	481	755	773	1,086
Trade Creditors	(549)	(1,773)	(3,142)	(5,875)
Accruals and other creditors	(1,174)	(1,957)	(3,801)	(6,170)
Working Capital	(225)	(419)	(3,330)	(4,397)
Net cash				
Cash	1,477	1,567	6,515	12,846
Taxation	-	-	-	-
Net cash	1,477	1,567	6,515	12,846
Other				
Financial liability	(146)	(370)	(123)	(123)
Net assets	1,746	2,042	4,203	9,492

Source: P-L January 2019, P-L January 2020, P-L January 2021, P-L September 2021 :

Summary net assets

Fixed assets

Fixed assets as at 26 September 2021 primarily consists of plant and machinery, website development and IT systems. An additional £0.1 million has been capitalised relating to legal fees for establishing trademarks.

Fixed asset additions are discussed in the **Capital expenditure** section of the report.

Net working capital

Y operates with a negative working capital profile driven by high trade creditor days (an average of 48 in LTM22, largely as a result of 60 and 90 days credit terms with some of the largest suppliers), no accounts receivable balances, and quarterly VAT payments.

The stock balance consists of finished goods held in the warehouse, boutiques, concessions, and stock in transit. A stock provision is held on the balance sheet, calculated on the basis of stock ageing.

Y has no accounts receivable balances as it operates a direct to consumer (D2C) business model meaning that all payments are received upfront. The debtors balance relates to cash receipts from sales that are yet to clear the bank and returns that are yet to be processed. We have adjusted for the cash receipts within net cash as they typically clear in 2 - 3 days.

Prepayments and other debtors largely relates to rent, warehouse and IT prepayments.

Stock and trade creditors are particularly high in September due to high purchases and a build up of stock in advance of the Autumn/ Winter season launch. This is driven by timing of the stock entering the business to avoid delays caused by the issues in the global supply chain.

Balance sheet overview (2/2)

As at September 2021, net assets primarily comprised £1.2 million in fixed assets, £(4.4) million in net working capital and £12.7 million in net cash.

Net working capital has decreased from £(0.2) million at January 2019 to £(4.4) million at September 2021, largely driven by factors associated with business growth such as an increase in the trade creditor balance, the returns provision, the VAT liability (paid in January, April, July and October) and the bonus accrual.

Summary net assets (continued)

Net working capital (cont.)

The trade creditor balance is principally attributable to outstanding invoices with product, marketing and logistics suppliers. Trade creditor days have been on an upward trend throughout the historical period, largely driven by an increase in purchases from suppliers with credit terms of 60 – 90 days.

The accruals and other creditors balance is inclusive of accruals relating to bonus and occupancy, in addition to a returns provision and a VAT liability. The VAT liability is paid in January, April, July and October.

Management has confirmed that there are no off balance sheet liabilities or related party balances as at 26 September 2021.

Net cash

See the **net cash section** of the report for further detail.

Other

The financial liability relates to the forward contract hedges in Euro (EUR) and US dollars (USD) which Y has utilised in the past two years in order to hedge foreign exchange risk.

Net working capital – Overview (1/2)

Adjusted net working capital as at September 2021 is ££1.2 lower than the LTM22 adjusted average. Identified adjustments largely relate to the Department store A minimum guarantee accrual; cash yet to clear held within debtors at month end; and the release of accruals/provisions. We have also presented a 6+6 working capital target as Y is a fast growing business. On this basis, adjusted working capital at September 2021 is a £0.6 million deficit compared to the working capital target.

Adjusted net working capital						
£'000	Ref.	Sep-21	LTM22 Avg.	Sep-21 vs. LTM22 avg	6+6 Avg.	Sep-21 vs. 6+6 avg
Reported net working capital		(4,397)	(3,680)	(717)	(3,598)	(799)
Potential adjustment from UE						
Redundancy accrual	2	-	-	-	-	-
Dept. store A minimum guarantee	3	142	166	(24)	120	22
Head office pay cut	7	(72)	(36)	(36)	(72)	-
Release of accruals/provisions	8	187	135	53	131	57
Legal fees	9	29	30	(2)	23	5
Boutique G closing costs	10	-	16	(16)	5	(5)
Sample sales	11	n.q.	n.q.	n.q.	n.q.	n.q.
Rent reductions	12	137	132	5	69	69
Returns provision	13	-	17	(17)	-	-
Potential adjustments from net cash						
Paypal buffer	a	100	100	-	100	-
Cash yet to clear in debtors	b	(790)	(407)	(383)	(812)	22
Unpaid exceptional costs	c	25	6	19	19	6
Deal related costs	e	11	1	10	2	9
Crowdfunding video	i	-	-	-	-	-
Other potential adjustments						
Deferred VAT	m	-	96	(96)	-	-
Covid-19: Stock unwind	n	-	-	-	-	-
Covid-19: Creditor stretching	o	-	-	-	-	-
Shareholder funds in creditors	p	-	-	-	-	-
Furlough debtor	q	-	(4)	4	-	-
Total potential adjustments		(231)	253	(484)	(415)	184
Adjusted net working capital		(4,628)	(3,427)	(1,201)	(4,013)	(615)
Other considerations						
Rent free accrual	20	(171)	(192)	20	(169)	(2)

Source: P-L January 2019, P-L January 2020, P-L January 2021, P-L September 2021

Potential adjustments

Underlying earnings

[Read more](#)

Adjustments 2, 3, 6, 7, 8, 9, 10, 11, 12, 13, 20 – See the Underlying earnings section of the report.

Net cash

[Read more](#)

Adjustments a, b, c, i – See the Net cash section of the report.

Other potential adjustments

- m. **Deferred VAT** – Y utilised the government's Covid-19 scheme to defer VAT payments relating to the quarter ended February 2020 (£0.2 million). This amount was subsequently paid in full in March 2021. We have adjusted net working capital to remove the deferred element of VAT from April 2020 onwards (as this is when it typically would have been paid).
- n. **Covid-19: Stock unwind** – There was an unwind of the stock balance from March 2020 to September 2020 as Management limited purchases of stock for the Autumn / Winter season due to the uncertainty surrounding the Covid-19 pandemic. As we deem this to be one-off, we have adjusted the stock balance for September 2020, on the basis of September 2019 stock days. The impact of this unwind on the trade creditor balance is captured in adjustment 'm', as the timing of the creditor stretching overlapped with the unwind of stock.

Net working capital – Overview (2/2)

Adjusted net working capital as at September 2021 is ££1.2 lower than the LTM22 adjusted average. Identified adjustments largely relate to the Department store A minimum guarantee accrual; cash yet to clear held within debtors at month end; and the release of accruals/provisions. We have also presented a 6+6 working capital target as Y is a fast growing business. On this basis, adjusted working capital at September 2021 is a £0.6 million deficit compared to the working capital target.

Adjusted net working capital						
£'000	Ref.	Sep-21	LTM22 Avg.	Sep-21 vs. LTM22 avg	6+6 Avg.	Sep-21 vs. 6+6 avg
Reported net working capital		(4,397)	(3,680)	(717)	(3,598)	(799)
Potential adjustment from UE						
Redundancy accrual	2	-	-	-	-	-
Dept. store A minimum guarantee	3	142	166	(24)	120	22
Head office pay cut	7	(72)	(36)	(36)	(72)	-
Release of accruals/provisions	8	187	135	53	131	57
Legal fees	9	29	30	(2)	23	5
Boutique G closing costs	10	-	16	(16)	5	(5)
Sample sales	11	n.q.	n.q.	n.q.	n.q.	n.q.
Rent reductions	12	137	132	5	69	69
Returns provision	13	-	17	(17)	-	-
Potential adjustments from net cash						
Paypal buffer	a	100	100	-	100	-
Cash yet to clear in debtors	b	(790)	(407)	(383)	(812)	22
Unpaid exceptional costs	c	25	6	19	19	6
Deal related costs	e	11	1	10	2	9
Crowdfunding video	i	-	-	-	-	-
Other potential adjustments						
Deferred VAT	m	-	96	(96)	-	-
Covid-19: Stock unwind	n	-	-	-	-	-
Covid-19: Creditor stretching	o	-	-	-	-	-
Shareholder funds in creditors	p	-	-	-	-	-
Furlough debtor	q	-	(4)	4	-	-
Total potential adjustments		(231)	253	(484)	(415)	184
Adjusted net working capital		(4,628)	(3,427)	(1,201)	(4,013)	(615)
Other considerations						
Rent free accrual	20	(171)	(192)	20	(169)	(2)

Source: P-L January 2019, P-L January 2020, P-L January 2021, P-L September 2021

Potential adjustments

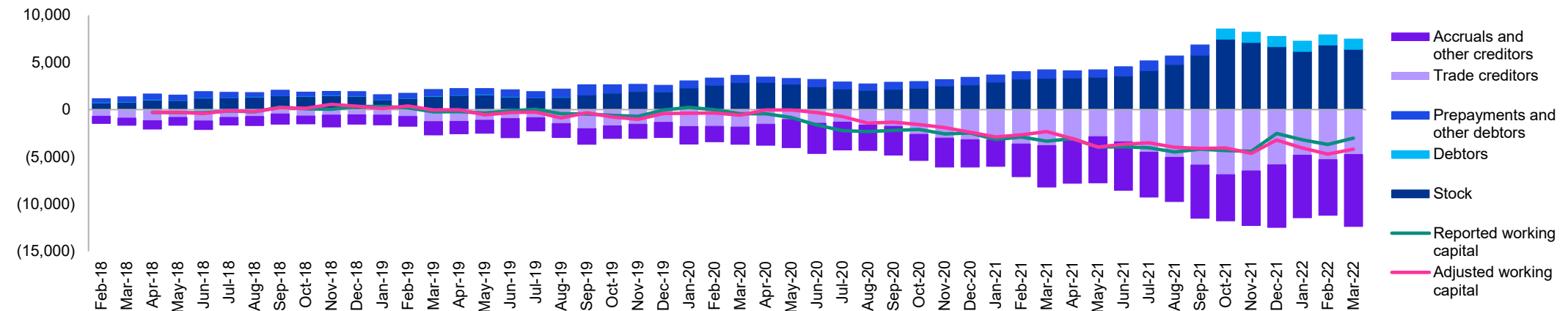
Other potential adjustments (continued)

- o. **Covid-19: Creditor stretching** – Y extended payment terms with some suppliers in an attempt to preserve cash due to the uncertainty surrounding the Covid-19 pandemic. As we deem this to be one-off, we have adjusted the trade creditor balance for the period February 2020 – July 2020 when trade creditor days were unusually high (and to capture the overlapping unwind of stock), on the basis of FY23 trade creditor day seasonality. FY23 has been used rather than FY20 due to a shift in the supplier base from FY20 towards suppliers with longer payment terms.
- p. **Shareholder funds in creditors** – Capital raised from shareholders during the Autumn / Winter fundraise in FY19 was incorrectly posted to creditors and manually adjusted to capital reserves at year end. We have removed these balances from net working capital.
- q. **Furlough debtor** – The £45,000 debtor balance relating to the furlough claim in January 2021 has been removed from net working capital as this debtor would not exist under ordinary payroll arrangements.

Net working capital — Monthly

Y has largely operated with a negative working capital profile driven by high trade creditor days, no accounts receivable balances, and quarterly VAT payments. We have sought to adjust net working capital (NWC) for items that we have identified as debt like, exceptional, or one off in nature.

Monthly adjusted net working capital



Adjusted NWC						
£'000	FY19	FY20	FY21	LTM22	FY22O	6+6
Maximum	561.8	(3.2)	(28)	(2,306)	(3,054)	(3,205)
Minimum	(388.8)	(1,025.8)	(2,877)	(4,628)	(4,695)	(4,866)
Swing	950.6	1,022.6	2,849	2,322	1,641	1,661
Average	49.3	(480.3)	(1,462)	(3,427)	(3,921)	(4,013)
Period end	(17.3)	(574.1)	(2,306)	(4,628)	(4,183)	(4,866)

Average WC days

Inventory days	111	107	116	108	120	124
Creditor days	32	34	48	49	50	48

Source (all): P-L January 2019, P-L January 2020, P-L January 2021, P-L September 2021



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Reported net working capital has decreased from £(0.2) million at January 2019 to £(4.4) million at September 2021, largely driven by factors associated with business growth such as an increase in the trade creditor balance, the returns provision, the VAT liability (paid in January, April, July and October) and the bonus accrual.

FY22 Outturn/6+6

The FY22 outturn period reflects the eight months of actuals to September 2021 as well as four months of forecast working capital. The 6+6 outturn reflects six months actuals to September 2021 as well as six months of forecast working capital.

The forecast periods for both periods have been adjusted to reflect the assumed unwind of working capital balances in the forecast that we have identified as potential working capital adjustments

Net cash (1/3)

Reported net cash of £12.8 million at 26 September 2021 relates to cash at bank including £1.6 million within an instant drawdown yy account.

Management has confirmed that there are no off balance sheet liabilities at September 2021, although we note that no corporation tax liability has been recognised for September 2021 (see taxation section, page 134 for further details).

Net cash		
£'000	Ref	Sep-21
Reported net cash		
Bank Account		8,315
USD Bank Account		1,371
HSBC MM Account		1,603
Paypal Account		1,558
Reported net (debt)/cash		12,846
Potential adjustments from NWC		
Paypal buffer	a	(100)
Cash yet to clear in debtors	b	790
Exceptional costs	c	(25)
Other potential adjustments		
Corporation tax	d	n.q
Total potential adjustments		665
Adjusted net cash		13,512
Other considerations		
FDD / CDD / Tech DD / Legal	e	(1,044)
Corporate finance / exit bonuses	e	(427)
Forward purchasing of stock	f	342
Audit fee overages	g	n.q.
FX forward contracts	h	(123)
US tax liabilities	i	n.q
Exercise of EMI options	j	n.q
Boutique A dilapidations	k	(10)
Crowdfunding video	l	(41)
Department store A minimum guarantee	3	(265)
Rent free accrual	20	(171)

Source: P-L January 2019, P-L January 2020, P-L January 2021, P-L September 2021

Reported net cash

Cash at bank

The majority of the cash balance is held in the two main bank accounts: yy account and yy account. There is an additional yy account, with a balance of £1.6 million as at September 2021, which earns a higher interest rate than the current accounts but has instant access.

As at September 2021, £1.6 million of the cash balance related to accounts with the payment service provider (PSP) yy. Although sales receipts are received into the yy account immediately, Y has to manually draw down cash from this account into its yy account.

Financial liability

The financial liability relates to the forward contract hedges in Euro (EUR) and US dollars (USD) which Y has utilised in the past two years in order to hedge FX risk. Y enters forward contracts based on the buying team's indication of purchases in foreign currencies for the following 12 months. The hedges are retranslated at year end using the spot rate, with any gain or loss taken to the P&L (below EBITDA). The use of forward contracts in USD has reduced recently due to the natural hedge from yy sales.

Taxation

See adjustment (d) overleaf.

Other

Y has a number of yy facilities available to them, such as an overdraft and import trade facility, but Management has commented that they are yet to utilise any of these facilities.

Net cash (2/3)

Adjustments identified during the course of our work increase adjusted net cash by £0.7 million, largely relating to sales receipts yet to clear held within debtors at month end, partially offset by a minimum balance held within the yy account to process refunds.

Potential adjustments

Potential adjustments from net working capital

- a. **yy buffer** – As the cash within the yy accounts is accessible we have treated it as net cash. However, we have made an adjustment for the £0.1 million balance that is retained within the accounts (to ensure that refunds can be processed) as we deem this to be working capital in nature.
- b. **Cash yet to clear within debtors** – The debtors balance includes cash from sales that is yet to clear, in relation to online, boutique and concession sales. As this typically clears within 2 – 3 days we have removed this from net working capital and included it as a cash like item. This balance includes an FX adjustment for yy sales based on the actual cash due to be received as sales are recognised on budgeted FX rates.
- c. **Exceptional warehouse costs** – Relates to an accrual for warehouse move costs recognised below EBITDA between yy and yy. As this relates to restructuring pre completion, we consider this balance to be debt-like in nature.

Other potential adjustments

- d. **Corporation tax** - The September 2021 management accounts do not include an estimate for the corporation tax liability. No tax calculations have been provided for the FY22 period and further work should be undertaken to establish the extent to which a corporation tax creditor should be recognised in the locked box.

Other considerations

- e. **Transactions costs** – Management estimates that total sell side transactions fees relating to Project Y will sum to £1.2 million (exclusive of VAT), consisting of the following:

- Sell side advisory (yy, £50,000)
- Financial and tax due diligence (yy, £0.3 million)
- Commercial due diligence (yy, £0.4 million)
- Technology due diligence (yy, £40,000)
- Legal fees (£0.3 million)

In addition, management are forecasting an exit bonus of £0.3 million. As at September 2021, only £10,000 had been paid and recognised within the Management accounts.

- f. **Forward purchase of stock** – As at September 2021, Management had £0.3 million of fabric purchased on behalf of clothing manufacturers for economies of scale purposes and to ensure stable cost prices. When this fabric is used by suppliers, a credit will be received for the relevant cost held on the balance sheet (£0.1 million received as at October 2021). Whilst Management expect this process to continue for another year and is supporting forecast trading, there is a potential cash benefit should this balance be left to unwind going forward.
- g. **Audit fee overages** – Management expect there will be additional audit fees incurred for the FY21 audit as a result of the deal process overlapping the audit process. To the extent overages are agreed and paid, these should be borne by the vendor.

Net cash (3/3)

Adjustments identified during the course of our work increase adjusted net cash by £0.7 million, largely relating to sales receipts yet to clear held within debtors at month end, partially offset by a minimum balance held within the yy account to process refunds.

Other considerations (continued)

- h. **Financial liability (FX forward contracts)** – As at September 2021, there is a £0.1 million liability held on the balance sheet relating to forward contracts ‘out of the money’ which was previously revalued at the end of January 2021. Management provided an estimated revaluation as at September 2021 and this was an immaterial difference to that recognised on the balance sheet (approx. £1,000). Whilst the valuation of the forward contracts are subject to change, the contracts may be more or less than the exchange rate at the time of purchasing currency and therefore represent a cash outflow / inflow to the business. We note that Management states there is a decreasing need for forward contracts in the business due to the natural hedge opportunities of the growing yy trade.
- i. **yy tax liabilities** – Whilst a review of Y’s yy tax position is not within the scope of this report, it is noted that Y has not historically paid yy sales taxes on the basis that no individual state threshold has been breached. However, in recent months, yy sales tax thresholds are expected to have been exceeded for approximately 10 to 15 yy states (with yy and yy being the largest states). Y is currently in the process of engaging yy sales tax specialists, yy, to manage its yy sales tax position. yy sales tax in the region of 9% is expected to start being charged at checkout within the next few months. Management expect any backlog of sales tax payments to be small on the basis that there is typically an initial period of grace from the point thresholds are breached before yy sales tax becomes payable.
- j. **Exercise of EMI options** – The company operates an Enterprise Management Incentive scheme. Whilst outside of the scope of this report, we note that the exercise of these options (which will be required to be exercised before completion) will likely give rise to a corporation tax deduction.

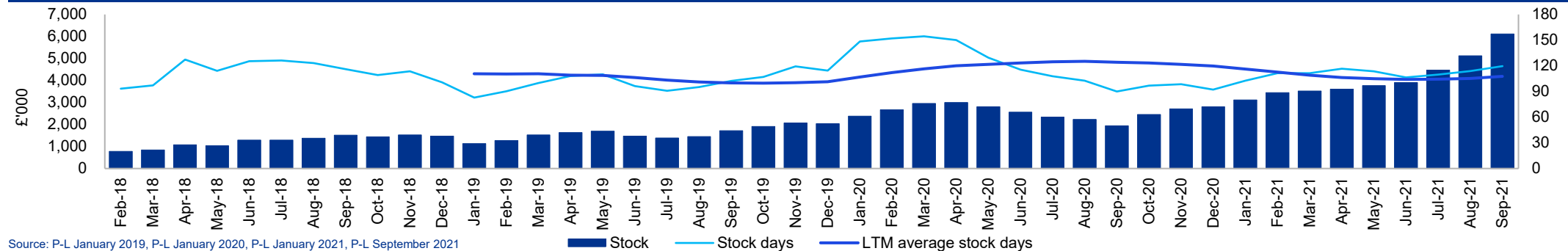
Other considerations (continued)

- k. **Boutique A dilapidations** – Management had previously intended on relocating Boutique A to Boutique I (included within the forecast model) from February 2022 but the arrangement fell through due to another third party taking the lease. Management are continuing to look for a potential new location for heightened brand awareness. Prospective purchasers should consider estimated dilapidation costs of £10,000 in this scenario which have not been provided for on the balance sheet.
- l. **Crowdfunding accrual** – In FY18 £41,000 was incurred in relation to a video shoot for a crowdfunding campaign. The accrual was released in FY20 as Management had not received the invoice. As there is a possibility that the invoice could still be received, we have included this as an other consideration. We have also adjusted for this within net working capital on the basis that the cost is not operating in nature, but there is no impact on underlying earnings as the cost was initially capitalised against the share premium account as it was considered to be part of the cost of fundraising and issuing new shares. We note that whilst the provision was recognised in FY18 the work was carried out in early 2017 and therefore Management believes there is no risk of an invoice being raised.
- 3. **Department store A minimum guarantee** – See the **quality of earnings section** of the report. Given there has been no agreement to forgive the minimum guarantee by Department store A there is a risk that the liability could become payable.
- 20. **Rent free accrual** – See the **quality of earnings section** of the report.

Stock (1/5)

The increase in the stock balance across the historical period is largely associated with business growth. The unwind from March to September 2020 was driven by limited purchases of stock for the Autumn / Winter season due to the uncertainty surrounding the Covid-19 pandemic, resulting in a decrease in stock days to 90 in September 2020 which we have adjusted for in net working capital as we deem this to be one-off.

Monthly reported stock and stock days



Source: P-L January 2019, P-L January 2020, P-L January 2021, P-L September 2021

Note: Stock days have been calculated on a count forward basis using cost of sales as the driver

Stock					
£'000	FY19	FY20	FY21	LTM22	FY22O
Closing stock	1,126	2,381	3,116	6,108	6,546
Key performance indicators					
Maximum days	127	148	155	120	148
Month	Apr-18	Jan-20	Mar-20	Sep-21	Oct-21
Minimum days	83	90	90	92	107
Month	Jan-19	Feb-19	Sep-20	Dec-20	Jun-21
Range	44	58	65	27	42
Average	111	107	116	108	120

Note: (a) Stock figures within the table are gross and before the provision.

Source: P-L January 2019, P-L January 2020, P-L January 2021, P-L September 2021

Stock

Stock consists of finished goods held at the warehouse, in boutiques and in concessions, and stock in transit. Stock is valued at purchase cost, with no additional costs (such as freight or customs duties) absorbed into the value.

Stock (net of the provision) has increased from £1.1 million at January 2019 to £6.1 million at September 2021, largely driven by increased trading and an expansion in the product range. However, the stock balance decreased from £2.9 million in March 2020 to £1.8 million in September 2020, as Management limited purchases of products for the Autumn/Winter season given the uncertainty surrounding the Covid-19 pandemic, with this decision communicated to suppliers in April 2020. Management notes that Y experienced limited supply chain issues as a result of the pandemic.

Stock days have remained approximately 110 days in the LTM22 period, with a slight rise in the August and September 2021 due to the early build up of stock for the Autumn / Winter season launch. This was driven by timing of the stock entering the business to avoid delays caused by the issues in the global supply chain. We note that there is a slight offsetting impact to working capital as some suppliers kept payment terms in line with the originally scheduled delivery dates.

Stock (2/5)

Stock and stock days (continued)

Stock days

Stock days increased sharply from 114 days at December 2019 to 148 days at January 2020, driven by stock in transit at year end. A significant order of knitwear products ordered from suppliers in the Far East was shipped in late December, in advance of when this product was required, as the suppliers cease production over Chinese New Year. As this is an annual occurrence, we have not sought to adjust for this within net working capital.

Stock days have remained approximately 110 days in the LTM22 period, with a slight rise in the August and September 2021 due to the early build up of stock for the Autumn / Winter season launch. This was driven by timing of the stock entering the business to avoid delays caused by the issues in the global supply chain. We note that there is a slight offsetting impact to working capital as some suppliers kept payment terms in line with the originally scheduled delivery dates.

Stock (3/5)

The majority of the stock balance relates to finished goods held at the warehouse. This balance was particularly high at September 2021 due to stock purchased in advance of the Autumn/Winter season launch in October. This was driven by Management ordering stock early to avoid delays caused by global supply chain issues. Boutiques and concessions are replenished up to five times a week with stock from the warehouse, with a selection also delivered weekly to the Department store A yy warehouse to fulfil Department store A online orders.

Stock				
£'000	Jan-19	Jan-20	Jan-21	Sep-21
Warehouse stock	878	1,960	2,821	5,254
Boutique stock	171	272	89	339
Concession stock	77	111	39	173
Stock - Other	-	39	168	342
Stock provision	(59)	(81)	(190)	(336)
Total stock	1,066	2,301	2,926	5,772

Key performance indicators

Stock provision as % of total	5.6%	3.5%	6.5%	5.8%
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Source: P-L January 2019, P-L January 2020, P-L January 2021, P-L September 2021

The warehouse stock balance was particularly high as at September 2021 due to high levels of Autumn/ Winter stock due to be launched in stores in October as Management ordered stock early to avoid supply chain delays.

Stock

Warehouse stock

All products received from suppliers are first held at the warehouse in yy, operated by a 3PL company, Logistics C (previously Logistics A in yy). The majority of the stock balance therefore relates to stock held in this warehouse.

Stock is valued at purchase cost, with no additional costs (such as freight or customs duties) absorbed into the value.

The warehouse stock balance is inclusive of stock in transit and any provisions for stock relating to the returns provision (see **Accruals section**).

Boutique stock

A small proportion of the total stock balance is held in the boutique, which are replenished with stock from the warehouse twice a week. The boutique stock balance declined in January 2021 as stock was sent back to the warehouse in order to fulfil online orders.

Two boutiques (Boutique A and Boutique D) are also currently being utilised as part of the 'ship from store' service, whereby any products that are out of stock online are alternatively picked and distributed from the boutique if it has the product available.

Management are looking to expand this service to Boutique B.

Concession stock

Concession stock relates to both stock held in the concessions (which are replenished twice a week) and stock held in the Department store A yy warehouse (replenished weekly) from which Department store A online orders are fulfilled.

Stock - other

The other stock balance relates to fabric that has been purchased in advance in order to secure lower unit prices (particularly in relation to knitwear and cashmere), for which Y will receive a credit note when the goods are shipped (£88,000 received in October 2021) Management intends on continuing to prepay for fabric, at least for the next year, in order to lock in cheaper, consistent cost prices as yarn prices continue to rise, driven by the Covid-19 pandemic. Management has commented that the prepayment is with one supplier, with which they have a good relationship.

A small proportion of the stock balance relates to a prepayment for fabric in order to secure lower unit prices, for which credit notes will be received when the products are shipped.

A stock provision is held on the balance sheet, calculated on the basis of stock ageing.

Stock (4/5)

Stock is aged based on the season to which it relates. Over 90% of the stock balance has related to the upcoming or current season at each of the historical dates. PI counts are held at both the Logistics A and Logistics C warehouses, with any large variances adjusted for within the management accounts. A year end stock take was also held at Logistics A, with any significant variances recounted and adjusted in the accounts at year end if required. Stock takes occur quarterly at the boutiques, with any variances discussed with the merchandising team. Management has commented that there has been minimal warehouse and boutique variances historically.

Aged stock				
£'000	Jan-19	Jan-20	Jan-21	Sep-21
Autumn/Winter 21				3,364
Spring/Summer 21			1,078	270
Autumn/Winter 20			233	17
Spring/Summer 20		1,360	66	4
Autumn/Winter 19		157	10	1
Spring/Summer 19	712	77	7	3
Autumn/Winter 18	137	20	-	-
Spring/Summer 18	23	2	0	0
Aged stock	873	1,616	1,394	3,659
Stock - other	-	39	168	342
Stock provision	(59)	(81)	(190)	(336)
Stock in transit	-	352	1,130	1,592
Returns not yet received	252	374	424	515
Total stock	1,066	2,301	2,926	5,772

Key performance indicators

Stock provision as % of t	5.6%	3.5%	6.5%	5.8%
Stock provision as % of non-current season	252.8%	81.3%	230.7%	1,305.8%

Source: 6.1.7.1.1.1_Aged Stock Listing FYE Jan 2019, 2020, 2021 and September 2021

Recognising stock in transit was a policy adopted from FY20. We have not sought to normalise this balance pre FY20 due to the stock in transit information not being readily available.

Management has provided for 85.0% of the Spring / Summer 2021 stock left which continues to be sold within the sale section of the website. Management consider this to be a prudent provision and that there is potential for the sale price to exceed the provided cost.

Stock

Stock provision

A stock provision is held on the balance sheet, calculated on the basis of stock ageing only (with no provision held for shrinkage). Any stock still held from the previous season is initially provided for at 50%, whilst any stock older than this is provided for at 100%. The total provision is then reviewed by Management to ensure that the provision is sufficient. Management has commented that the provision has been prudent historically and that there has been limited need to increase the provision following review.

The £0.3 million provision at September 2021 has been calculated on the basis of 100% of stock pre summer season 2021 and an effective provision of 85% for summer season 2021 stock. Management also provide £10,000 per month for YTD potential stock losses / damage.

Aged stock is typically sold at a reduced price on the website but any stock that is not sold is written down and either sold via a sample sale or given to charity, although Management has commented that this is rare.

Sample sales were held in September 2019 and June 2021, generating sales revenue of £68,000 and £92,000 respectively. Although the cost of these products would have been recognised when the stock was written down, Management has been unable to provide information relating to this in order for an adjustment to be made to underlying earnings or net working capital to recognise the cost at the same time as the sale.

Stock in transit

Stock invoices received in the month are cross checked against the goods received notes ('GRNs') on a monthly basis. Any goods for which the invoices have been received and are still in transit are recorded within the 'stock in transit' nominal ledger. We note that Y has Cargo Insurance up to the value of £1,000,000 with xx. Management states that there are very few cases of where goods are shipped and not invoiced.

Stock (5/5)

As at September 2021, over 99.3% of the stock balance related to the current or upcoming season.

From our analysis it is apparent that old stock typically sells through, and that a sufficient provision is held to cover old stock that may be at risk.

Stock ageing				
£'000	Jan-19	Jan-20	Jan-21	Sep-21
Current seasons	850	1,517	1,311	3,633
Last season	23	77	66	17
Two seasons prior	-	20	10	4
Three seasons prior	-	2	7	1
Four seasons +	-	-	0	3
Aged stock	873	1,616	1,394	3,659

Key performance indicators

As % of total

Current seasons	97.3%	93.9%	94.1%	99.3%
Last season	2.7%	4.8%	4.7%	0.5%
Two seasons prior	-	1.2%	0.7%	0.1%
Three seasons prior	-	0.1%	0.5%	0.0%
Four seasons +	-	-	0.0%	0.1%
Total	100.0%	100.0%	100.0%	100.0%

Source: 6.1.7.1.1.1_Aged Stock Listing FYE Jan 2019, 2020, 2021 and September 2021

Stock

Stock – returns not yet received

As part of the monthly stock returns provision, Management recognise the estimated value of stock expected to be received as part of the returns process, with the corresponding credit being recognised within cost of sales. This provision is released and trued up on a monthly basis. We note that the returns as at January 2021 were materially lower as a result of the governmental imposed lockdown period. We have illustrated the impact of this in our **quality of earnings analysis**.

Stock ageing

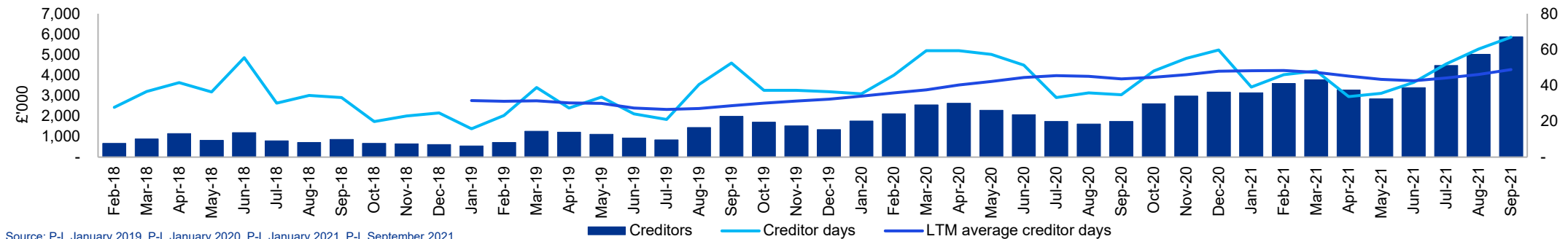
Stock is aged based on the season to which it relates. The majority of the stock balance at each of the historical dates relates to the upcoming season, with 99.3% of the stock held as at September 2021 relating to the current / upcoming season.

For the ageing analysis we have considered stock for the current season and the upcoming season to be 'current'. Using this basis, over 90% of the stock balance has been 'current' at each of the historical dates. On this basis the provision does not appear to be unreasonable historically.

Trade creditors (1/2)

The increase in the trade creditor balance across the historical period is largely associated with business growth. The trade creditor balance decreased from April 2020 to July 2020 as Management limited stock purchases for the Autumn / Winter season due to the uncertainty surrounding the Covid-19 pandemic. This resulted in a decrease in trade creditor days to 33 in July 2020 which we have adjusted for in net working capital as we deem this to be one-off.

Monthly reported trade creditors and trade creditors days



Creditors					
£'000	FY19	FY20	FY21	LTM22	FY220
Closing trade creditors	549	1,773	3,142	5,875	4,805
Maximum days	56	53	60	67	67
Month	Jun-18	Sep-19	Dec-20	Sep-21	Sep-21
Minimum days	16	21	33	34	34
Month	Jan-19	Jul-19	Jul-20	Apr-21	Apr-21
Range	40	32	27	33	33
Average	32	34	48	49	50

Source: P-L January 2019, P-L January 2020, P-L January 2021, P-L September 2021

Trade creditors and trade creditor days

Typical payment terms with Y's largest suppliers vary from 30 to 90 days.

Trade creditor days spiked to 59 days at April 2020 following the agreed extension and stretching of payment terms with some suppliers in order to preserve cash due to Covid-19 uncertainty. As we deem this to be one-off, we have adjusted the trade creditor balance within NWC.

Trade creditor days also increased to 60 in December 2020, driven by the shipment of knitwear products from suppliers in the Far East in advance of when the product is required, as the suppliers cease production over Chinese New Year.-As this is an annual occurrence, we have not sought to adjust for this within net working capital.

Trade creditors (2/2)

Trade creditors and trade creditor days

Creditor days further reached 67 in September 2021 due a combination of increased use of suppliers with 90 day terms and the earlier build up of stock to mitigate global supply chain issues whilst some suppliers allowing payment in line with the original scheduled payments. We have not sought to normalise this balance, as this represents an ongoing trend of increased credit terms within the business, although we note that a reduction in creditors by one day impacts cash by approximately £85,000.

LTM average stock days have been on an upward trend throughout the historical period, largely driven by an increase in purchases from suppliers with credit terms of 60 – 90 days. However, trade creditor days were further stretched in FY21, as Management extended payments terms with some suppliers in an attempt to preserve cash.

Accruals and other creditors (1/5)

The balance largely relates to the VAT liability and the refund provision. Y deferred the VAT payment for the quarter ended February 2020 (£0.2 million) under the government's Covid-19 scheme to March 2021. We have adjusted for this within our net working capital analysis. The refund provision is calculated on the basis of budgeted returns compared with actual returns received into the warehouse relating to sales in that month. A provision is also made to the cost of sales balance to reflect expected returns. We have reflected a £0.2 million post-closing adjustment in FY21 due to materially lower than expected returns in January 2021 caused by the Covid-19 lockdown.

Accruals and other creditors				
£'000	Jan-19	Jan-20	Jan-21	Sep-21
Accruals	423	723	1,743	2,195
VAT Liability	254	299	619	1,759
Refund Provision	426	735	1,309	2,043
Taxation	64	81	94	133
Gift Card Liability	2	1	23	16
Wages	5	118	12	24
Total	1,174	1,957	3,801	6,170

Source: P-L January 2019, P-L January 2020, P-L January 2021, P-L September 2021

Accruals and other creditors

Accruals

The breakdown of accruals is discussed on the following pages.

VAT liability

Y is registered for VAT in the yy only, with all international VAT payment for yy handled by Global E. Management is currently in the process of registering for sales tax in the yy. Y deferred the payment of VAT for the quarter ended February 2020 (£0.2 million) but this was subsequently paid in March 2021. We have adjusted for this within our net working capital analysis. VAT is paid quarterly in arrears in January, April, July and October. The balance is higher in September due to increased trading activity and timing within the quarterly VAT cycle.

Refund provision

Management calculates a returns provision at month end, on the assumption that approximately 40% of sales are returned (although this varies slightly on a monthly basis), with approximately 20% of returns occurring in month.

- The provision is calculated as the difference between budgeted returns and returns received into the warehouse relating to sales in that month.
- A provision is also made for the cost of sales, based on the margin achieved in the month.

The provision for the previous month is typically released (as the returns policy is 28 days) but, in the case of an overprovision, Management review whether to retain some of the provision in the event that there are delays to some returns.

A £0.2 million net post-closing adjustment was posted as part of the statutory accounts process for January 2021 due to materially lower than expected returns caused by the lockdown period (38.2% versus 43.5% for yy sales). We have posted this as part of quality of earnings, but note that this would not impact the LTM22 period as the overprovision would have been released post January 2021, and recalculated every subsequent month.

Accruals and other creditors (2/5)

Accruals and other creditors (continued)

Taxation

The taxation accrual is the PAYE and NI liability relating to the current month that will be paid in the following month.

Gift card liability

Gift cards are recorded as deferred income at the time of sale, with an unwind of the liability when the gift card is redeemed. VAT is accounted for on redemption. Gift cards have a one year expiry, after which the deferred revenue is released to the P&L, albeit we understand there has been no instances of gift cards expiring historically.

Wages

The wage accrual predominantly relates to employee pensions, with employer pension payments made the following month. The accrual at January 2020 also included accrued wages for salaried employees as the payroll payment occurred post year end due to the 4-4-5 financial basis that Y uses.

Accruals and other creditors (3/5)

The accruals balances relating to Department store A minimum guarantee have been adjusted as part of the underlying earnings and net working capital analysis, although we note a potential cash risk should these amounts be enforced. We have also made an adjustment to underlying earnings to reflect the cost of the repaid salary costs to the period which it relates.

Accruals				
£'000	Jan-19	Jan-20	Jan-21	Sep-21
Staff	112	313	605	741
Manual journals	20	87	304	418
Occupancy	100	181	266	276
Selfridges	-	-	208	198
Packaging	85	-	109	67
Professional fees	26	62	79	76
Finance charges	6	10	33	114
IT	1	-	62	82
Logistics	(37)	5	-	30
Marketing	59	63	0	103
Samples	10	2	32	31
Other	-	-	-	33
Exceptional costs	-	-	-	25
Crowdcube	41	-	-	-
St John's Wood	-	-	45	-
Total accruals	423	723	1,743	2,195

Source: accruals Breakdown FYE Jan 2019 2020 2021; Accruals Breakdown YTD Sept 2021

Accruals

Staff – The staff accrual predominantly relates to the bonus provision for head office staff. This is significantly higher at January 2021 and September 2021 as the Board agreed to increase the bonus based on Y's performance. The accrual at September 2021 also includes a provision for freelance staff across a variety of departments that Management are intending to utilise in the outturn period. As the costs in LTM22 are therefore overstated, we have adjusted for this within underlying earnings and net working capital.

Head office employees received a 20% pay cut in March and April 2020 amidst the uncertainty surrounding the pandemic. However, as this was repaid in April 2021, we have made an adjustment to underlying earnings to reflect the cost in the period to which it relates.

Manual journals – Manual journals largely relate to accrued Social media A costs that are yet to be invoiced (£0.4 million at September 2021). The accrual at September 2021 also included a year end debit adjustment for the 20% head office pay cut in March and April 2020 that was repaid in April 2021. We have adjusted for the repayment within underlying earnings and net working capital to align the full salary costs in the year in which they were earned.

Occupancy – The occupancy accrual predominantly relates to the rent free accrual for all properties, including the head office. We have included the rent free accrual as an other consideration within our underlying earnings, net cash and net working capital analysis as the business has benefitted from the rental cash payments being lower than the P&L charge historically.

Department store A – There is a £0.2 million minimum guarantee within the concession arrangement with Department store A yy, which was accrued for at January 2021. A further £0.1 million was accrued for H1 FY22 on a monthly basis (subsequently released in May 2021). The liabilities arose due to enforced stores closures amidst the Covid-19 pandemic. Management has not received any communication in relation to the guarantees; neither does it expect either balance to be paid. Management has started to release the FY21 provision evenly between August 2021 and January 2022. These balances have been adjusted as part of quality of earnings analysis and adjusted net working capital.

Accruals and other creditors (4/5)

Management has made a number of provisions at September 2021 that have subsequently been released within the forecast, largely relating to packaging, IT licence costs, freelance staff and photoshoot costs. We have adjusted for these over-accruals in underlying earnings and net working capital to reflect the actual costs incurred. An accrual was made at January 2021 for legal fees incurred relating to trademarks. As Management have capitalised these costs, and assume a full unwind in the forecast, we have made an adjustment to remove these costs from underlying earnings and net working capital.

Accruals (continued)

Department store A (continued) - We note that Management has continued to provide for the H2 FY22 period where the concessions reopened but continue to be impacted by reduced tourist numbers. We concur with the adjustments made but potential purchasers may wish to consider the potential risk / upside in relationship to these guarantees.

Packaging – A bulk order for packaging was made in December 2020 and January 2021 in order to benefit from reduced unit prices but the invoice was not received until after year end. The provisions have been released between August 2021 and January 2022. We have not sought to adjust for this balance as Management state that they intend to use the same methodology to purchase packaging for the FY23 financial year.

Professional fees – Professional fees relate to both audit costs (including a contingency for overruns reacting to the previous audit, despite this not having been notified by the auditors and the monthly accrual for the audit relating to the current year) and legal costs (relating to trademarks in various countries). Management has commented that the legal fees accrual has been released in the forecast as the legal fees have been capitalised. We have therefore adjusted for the legal fees accrual in underlying earnings and net working capital to reflect the capitalisation of these costs.

Finance charges – The finance charges accrual relates to merchant fees incurred on in-month sales. The increase to £114,000 at September 2021 relates to the ramp-up in trading and timing of month end date (see appendix 23 for a list of month-end dates.).

Accruals (continued)

IT – The IT accrual predominantly relates to Magento licence costs that are paid on an annual basis. As the number of transactions increased across the historical period, the business was due to pay a higher scale rate for the licence cost, which was accrued for at year end. However, Magento have continued to invoice at the initial licence cost. Management have forecast a partial release of this accrual on the basis that the licence has since been renewed at the lower rate. We have adjusted for this over-accrual within underlying earnings and net working capital to reflect actual costs incurred.

Logistics – The logistics accrual at September 2021 consists of a provision relating to potential postage refunds (for when the full online order is returned), and a provision for delayed yy customs duty invoices.

Marketing – The marketing accrual predominantly relates to a provision for potential additional shoot days for campaigns that have not occurred, and so the provision has been released in the forecast. We have therefore adjusted for this provision within underlying earnings and net working capital to reflect actual costs incurred.

Samples – The samples accrual relates to shipment samples and potential fabric liabilities for invoices which were received post year end.

Other – This accrual predominantly relates to a provision for recruitment costs, relating to the hire of various roles such as advisors and managers.

Exceptional costs – Relates to costs associated with the warehouse move and recognised below EBITDA. As this balance relates to restructuring pre-completion, we consider this to be debt-like in nature.

Accruals and other creditors (5/5)

Accruals (continued)

yy – This accrual relates to the costs incurred for a video shoot relating to a crowdfunding raise in January 2018. The accrual was released in FY20 as Management had not received the invoice. This has no impact on underlying earnings as the initial entry and release were posted against the Share Premium account as it was considered to be part of the cost of fundraising and issuing of new shares. We have removed this from net working capital on the basis that the cost is not operating in nature.

Boutique G – This accrual relates to redundancy costs and store closure costs relating to the closure of the Boutique G boutique. Actual costs incurred were lower than the amount accrued, resulting in a partial release of the provision in YTD22. We have adjusted for this within underlying earnings and net working capital to reflect actual costs incurred.

5.

Cash flows

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Operating cash flow

Y historically has had an operating cash flow in excess of 100% due to operating with a negative working capital, resulting in an increase in cash from £1.5 million at January 2019 to £12.8 million as trading has increased. Y has benefitted from shareholder contributions, with £0.8 million received in staggered amounts in FY19. The business received £0.5 million from shareholders in December 2020 as a condition of the yy facility agreement.

Summary cash flow					
£'000	FY19	FY20	FY21	LTM22	FY22Q
Cash from Operating Activities					
EBITDA	53	816	2,021	7,305	10,147
Movements in net working capital					
Inventory	(284)	(1,234)	(625)	(4,020)	(3,245)
Receivables	65	(580)	324	(987)	(1,637)
Payables	355	2,007	3,212	6,834	4,558
Movements in net working capital	136	193	2,911	1,827	(324)
Operating cash flow	189	1,009	4,933	9,131	9,823
Taxation Paid	-	2	80	(16)	(16)
Exceptional costs	(82)	-	-	(214)	(214)
Other costs	-	-	-	-	(12)
Cash flow from operating activities	107	1,011	5,012	8,902	9,582
Cash from Investing Activities					
Capital Expenditure	(467)	(1,045)	(509)	(662)	(676)
Net cash used in investing activities	(467)	(1,045)	(509)	(662)	(676)
Free cash flow	(360)	(34)	4,503	8,240	8,906
Cash from Financing Activities					
Dividends paid	(20)	(36)	(13)	(11)	(9)
Financial liability	(11)	11	-	-	-
Proceeds from shareholders' contribution	879	40	481	496	-
Capital Contribution	-	107	(23)	21	29
Net cash from financing activities	847	123	445	506	20
Movement in cash	488	89	4,948	8,746	8,926
Opening cash	989	1,477	1,567	4,097	6,515
Unreconciled difference	0	1	0	4	3
Closing cash	1,477	1,567	6,515	12,846	15,445
Key performance indicators					
Operating cash conversion %	n/a	123.7%	4.0%	125.0%	96.8%
Free cash conversion %	n/a	(4.2)%	222.8%	112.8%	87.8%

1

See the following page for details of historical capital expenditure.

2

Relates to proceeds from the issue of share capital.

3

Capital contributions relate to amounts received from the landlord for the Head Office and Boutique F boutique.

4

Operating cash flow conversion was in excess of 200% in FY21. This was due to a number of factors including:

Trade debtors reduced by £0.4 million as unprocessed returns exceeded uncleared cash receipts in January 2021;

£1.9 million increase in accruals and other creditors due to an increased refund provision, deferred VAT due to Covid-19 and delays in the receipt of invoices; and
£1.5 million increase in trade creditors both due to higher levels of purchases and as a result of purchasing through suppliers that offer longer credit terms i.e. 60-90 days.

Source: P-L January 2019, P-L January 2020, P-L January 2021, P-L September 2021



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Capital expenditure

Capital expenditure over the historical period has largely related to new boutique openings and investment in the IT and retail infrastructure, including a re-platforming of the website in FY20, upgraded stock and EPOS systems in FY19/FY20 and continuing upgrades to operational systems (e.g. ship to store and 3PL integration). Capex planned for the outturn period includes initial work for Click and Collect implementation within stores, CRM upgrades and further website platform projects.

Capital expenditure					
£'000	FY19	FY20	FY21	LTM22	FY22O
Head office	2	168	6	55	59
Boutiques					
Expansionary	105	241	183	-	-
Maintenance	1	45	15	23	-
Boutiques	106	286	197	23	35
Website					
Expansionary	-	266	-	-	-
Maintenance	127	54	149	154	127
Website	127	320	149	154	127
IT systems					
Expansionary	171	135	-	-	-
Maintenance	-	74	119	171	166
IT systems	171	209	119	171	166
Office equipment	49	41	35	64	79
Concessions					
Expansionary	-	-	-	30	30
Maintenance	34	21	3	-	-
Concessions	34	21	3	30	30
Warehouse					
Expansionary	-	-	-	79	79
Maintenance	-	-	-	23	23
Warehouse	-	-	-	102	102
Trademarks	-	-	-	64	64
Contingency	-	-	-	-	14
Capital expenditure	489	1,045	509	662	676
Key performance indicators					
Expansionary %	56.5%	61.5%	35.9%	16.5%	16.2%
Maintenance %	43.5%	38.5%	64.1%	83.5%	83.8%

Source: 6.1.10.1_Historical Capital Expenditure FYE Jan 19 to YTD September 2021



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Capital expenditure summary

Head office - Capital expenditure relating to the head office has been minimal across the historical period, other than £0.2 million in FY20 relating to the relocation of the head office to yy.

Boutiques - Boutique expenditure largely relates to fitting out new boutiques, with £0.1 million incurred in FY19 for Boutique G, £0.3 million in FY20 and £0.2 million in FY21 relating to the Boutique E and Boutique F stores.

Concessions - Concession expenditure has historically related to fitting out new concessions, although this expenditure is considerably lower than for boutiques. The expenditure in FY19 relates to the yy and yy Department store A concessions, with expenditure in FY20 relating to the relocation within the yy Department store A store and expenditure in LTM22 relating to the yy Department store B concession.

Website - Y re-platformed its website in FY20 to Magento2, with costs incurred of £0.3 million spread across the period FY19 – FY20. The re-platform expenditure was inclusive of the capitalisation of costs relating to the IT support officer (£20,000 in FY19 and £11,000 in FY20).

Website (continued) - Other costs throughout the historical period have largely related to optimising the website.

IT systems - The stock system and store EPOS system was upgraded in FY20 at a cost of £0.3 million, with costs incurred across the period FY19 – FY20. Other historical expenditure relates to smaller IT projects. Maintenance is nil in FY19 as prior to this Y did not have its own IT systems or an integrated warehouse system. Spend on existing systems is classified as maintenance capex.

Office equipment - Office equipment expenditure largely relates to computer equipment (predominantly laptops) and server works.

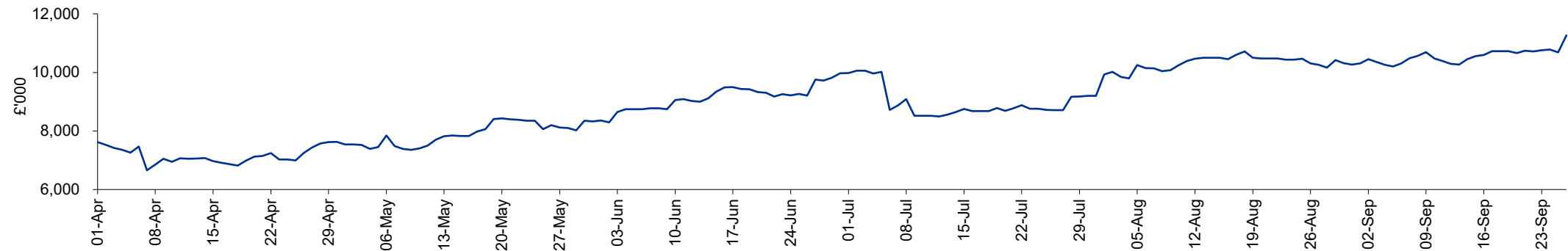
Trademarks - In the outturn period legal fees relating to establishing trademarks in various countries have been capitalised.

Warehouse - IT migration costs (£0.1 million) were incurred in the outturn period relating to the warehouse move to Logistics C (location of new 3PL provider). This expenditure is inclusive of the capitalisation of salary costs for the Warehouse Project Manager (£34,000).

Illustrative intra month cash requirement

The cash balance has been on an upward trend in the past six months driven by an increase in sales associated with business growth. Y has an average intramonth funding requirement of £0.5 million, with a maximum requirement of £1.3 million in July 2021, largely due to an increase in cash from three successive draw downs of the yy account. At September 2021, there was a £5,000 difference between the yy statement and the amount recognised in the management accounts. Management has stated it will investigate this internally and resolve as appropriate prior to completion.

Illustrative intra month cash requirement



Intramonth cash summary						
£'000	Apr-21	May-21	Jun-21	Jul-21	Aug-21	Sep-21
Closing cash balance	7,538	8,354	9,755	9,932	10,419	11,268
Key performance indicators						
Opening cash balance	8,252	7,538	8,354	9,755	9,932	10,419
Maximum	7,627	8,429	9,755	10,063	10,715	11,268
Minimum	6,660	7,354	8,294	8,499	9,796	10,206
Range	6,749	8,245	9,694	8,807	10,579	11,054
Average	8,526	9,311	10,647	10,641	11,799	12,102
Intramonth funding requirement	878	184	61	1,256	136	214

Source (all): Bank statements

Basis of preparation

The cash balances in the chart above reflect daily bank balances of the three main accounts. In addition to this, there is a yy GBP and yy USD account for which daily balances are not available.

Foreign currency accounts have been translated using Management's FX rates.

Timing of key payments and receipts

- Payroll is paid on last Friday of every month
- PAYE and NI is paid monthly on 22nd of the following month
- Supplier payment runs are made weekly based on payment terms
- VAT is paid quarterly in January, April, July and October
- Business rates are paid monthly via instalments
- Rent is paid either monthly or quarterly depending on the store lease

6.

Reporting environment

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Financial reporting environment (1)

The information on this page is based on management information and management discussions. We have not performed any testing of systems or controls, and have not performed an audit or review of any financial information.

External audit and findings and budgeting

The company was audited by yy in FY20 and FY21 (with the FY19 opening balances audited as part of the FY20 accounts).

The company accounts under FRS 102 and does not have any non-standard accounting policies. Accounting policies are discussed further on the following page.

The budget setting process commences in September. The Finance Manager prepares a forecast model and weekly meetings are held with the Management Team to discuss sales targets, stock and buying which are the key inputs for the model. The cost base required to support these targets is discussed with the relevant teams.

The first review is performed by the founder, the COO and the Chairman in November before being presented to the Management Team and subsequently the Board for final approval in the December Board meeting.

Monthly management accounts

The monthly reporting process is typically completed by the third week following the month end. Management accounts are prepared by all members of the finance team and reviewed by the Finance Manager and the COO. The accounts are later reviewed by the Management Team and the Board. The key elements of the management accounts include:

- Statement of Profit & Loss (at a business level and at an individual boutique/concession level);
- Balance Sheet;
- Cash flow.

The Statement of Profit & Loss is presented monthly, along with a monthly budget (to which variances are calculated) and monthly actuals from prior year.

KPIs such as sales by channel, new customers, customer acquisition costs, ROAS, product margin % and stock cover are reviewed weekly at the Trade Meeting.

Finance team and control environment

The finance team consists of a Finance Manager, a Finance Analyst and a Finance Assistant. A finance Administrative Assistant was hired in July 2021 to support the finance team with increased workload associated with business growth.

Bank reconciliations, along with other balance sheet reconciliations, are prepared by the finance manager or other members of the finance team and reviewed by the COO as part of the month end process.

Supplier payments are made through the yy net platform which is dual control and requires two approvals for each payment. Each member of the finance team has an approval band for purchases, with a £20,000 limit for Finance Assistant, £300,000 limit for Finance Analyst, £500,000 limit for Finance Manager and £1 million limit for the COO (which is reviewed and amended temporarily to process VAT payments).

Payroll is outsourced to yy, a third party. The salary adjustments and the subsequent payroll reports are reviewed by the COO and Finance Manager and authorised by the COO.

Payroll is processed through yy and paid on the last Friday of each month.

Financial reporting environment (2)

Finance systems

yy is used by the business as the main accounting platform, mostly as a stand alone system - an integrated EPOS system is used within the boutiques but online sales are manually imported into yy. In FY20 the website was re-platformed to yy.

A single ERP system, yy, was implemented in FY20 across warehouse management and stock (online and in store). There is no integration between yy and yy, with all stock movements posted through journals. PI counts are performed regularly by the 3PL provider, Logistics C, with adjustments made for any large variances.

Strategic planning

Board meetings are held quarterly and are attended by the Management Team and the Board members. As part of these meetings, the monthly management accounts are reviewed (see monthly management accounts section for details of contents).

Corporate strategy meetings are held bi-annually (mid January and mid July) to discuss the direction of the business for the season, including financial planning, the customer model and marketing strategy, the product strategy, the sourcing strategy and any market analysis or opportunities. The meeting is attended by the founder, the Chairman and the management team.

A number of other meetings are attended by the founder and the design, marketing, and production teams in relation the development of the season's products. This includes a "Lessons learnt" meeting where trade and financial information for the season is reviewed and SWOT analysis performed.

Accounting policies

Revenue

Revenue is measured at fair value, net of discounts, returns, and VAT.

Revenue is recognised at the point of sale when the customer pays for the goods. Management has commented that the lead time for despatch is typically 1 – 3 days but no accrual is made either at month end or year end for any orders received that are yet to be despatched. No issues have been raised by the auditors regarding this revenue recognition policy. The difference is unlikely to have been material historically (estimated to be up to £0.4 million at September 2021 based on the last three days of sales) but may become more significant as the business continues to grow.

Fixed assets

The minimum threshold for the capitalisation of costs is £800.

Tangible assets are depreciated on the following basis:

- Leasehold improvement – 33% straight line
- Fixtures and fittings – 33% straight line

Intangible assets are amortised on the following basis:

- Website – 33% straight line
- IT systems – 33% straight line

Stock

Stock is measured at the lower of cost and estimated selling price less costs to complete and sell. Stock is valued at purchase cost, with no additional costs (such as freight or customs duties) absorbed into the value.

The company has a stock provision for aged stock based on 50% for stock from the previous season and 100% for any stock older than this. See the stock section of the report for further discussion.

Provisions

A dilapidation provision for the yy boutique was held on the balance sheet until the boutique's closure in January 2021, when the provision was utilised with a provision release of £26,000 taken to the P&L in FY22.

Returns provision

The company has a provision for product returns made post month end, which are predominantly made through the online channel. The provision is calculated based on the assumption that approximately 40% of sales are returned (although this varies slightly on a monthly basis due to expected consumer buying patterns and historical trends, and judgements relating to the timing and volume of returns). See the accruals and other creditors section of the report for further discussion.

Staff costs and pension

The company policy is for all holiday to be utilised in year but, for exceptional circumstances, the company accounts for a holiday pay accrual, whereby the cost of any unused holiday entitlement is recognised in the period in which the employee's services are received.

The company operates a defined contribution pension scheme, with all contributions expensed in the period to which they relate.

Y capitalises limited staff costs on a percentage allocation basis. See quality of earnings analysis for further discussion.

7.

Appendices

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Engagement & data integrity

Important notice

Our report is for the benefit and information only of those purchaser parties who have accepted the terms and conditions of our Engagement Letter and should not be copied, referred to or disclosed, in whole or in part, without our prior written consent, except as specifically permitted in our Engagement Letter. To the fullest extent permitted by law, we will not accept responsibility or liability to any other party (including those purchaser parties' legal and other professional advisers) in respect of our work or the report.

Our work commenced on 12 July 2021 and our fieldwork was completed on 26 November 2021. We have not undertaken to update our report for events or circumstances arising after that date.

In preparing our report, our primary source has been Vendor internal management information and representations made to us by management of Vendor. We do not accept responsibility for such information which remains the responsibility of management. Details of our principal information sources are set out in Appendix 2 and we have satisfied ourselves, so far as possible, that the information presented in our report is consistent with other information which was made available to us in the course of our work in accordance with the terms of our Engagement Letter. We have not, however, sought to establish the reliability of the sources by reference to other evidence.

This engagement is not an assurance engagement conducted in accordance with any generally accepted assurance standards and consequently no assurance opinion is expressed.

Our work has not considered the potential impact on Target's financial information of the transition to IFRS.

Our report makes reference to 'KPMG Analysis'; this indicates only that we have (where specified) undertaken certain analytical activities on the underlying data to arrive at the information presented; we do not accept responsibility for the underlying data.

The analysis of 'normalised'/'underlying' earnings and working capital, adjusted net debt and last twelve months/LTM run rate contained in this report is for illustrative purposes only. There is no authoritative literature or common standard with respect to the identification of items which may constitute appropriate adjustments to earnings and working capital, be treated as 'debt' or 'net debt' or be included in a calculation of 'run rate', and the decision as to which items should be included or excluded is highly subjective and judgemental. Furthermore, the items identified are necessarily limited to those that we have identified in course of the work performed by us, which is subject to the restrictions in scope as set out in the engagement letter and has been subject to limitations on our access and in the nature and extent of the information which has been made available to us. Accordingly there is no basis on which to state whether, in the analysis presented, the items that have been included are appropriately included, or that all items that might be appropriately included have been included. We have indicated in our report the basis on which items have been included, excluded or adjusted. You may choose to analyse the information presented differently.

The prospective financial information set out within our report has been prepared by Target; we do not accept responsibility for such information. We must emphasise that the realisation of the prospective financial information is dependent on the continuing validity of the assumptions on which it is based. The assumptions will need to be reviewed and revised to reflect any such changes in trading patterns, cost structures or the direction of the business as they emerge. In particular, the lack of clarity over Brexit and its implications will continue to result in increased uncertainty, volatility and change (both in areas specific to Target and its industry, and, in the volatility of key macroeconomic variables such as exchange rates, interest rates and inflation). In addition, there is uncertainty over the impact of the Coronavirus on Target's supply chain, operations and resourcing. We accept no responsibility for the realisation of the prospective financial information. Actual results are likely to be different from those shown in the prospective financial information because events and circumstances frequently do not occur as expected, and the differences may be material.

The contents of our report have been reviewed in detail by the directors of Infinity who have confirmed in writing the factual accuracy of this report.



Basis of preparation

Scope of work



Restricted



Moderate



Customary

KPMG LLP ('KPMG') has been engaged by yy to prepare a vendor due diligence report in connection with the potential disposal of the business. The report has been prepared in accordance with our engagement letter dated 30 September 2021 as modified by our variation letter dated 3 November 2021 (the 'Engagement Letter') which has been agreed by the Directors of Infinity, the scope of which is included as an **Appendix** in this report.

Our work on historical trading comprises the period FY19-LTM22. With respect to prospective financial trading, our scope of work includes 2022 budget. We have analyzed the balance sheet as at 31 January 2019, 2020 and 2021 and September 2021, and our analysis of net working capital was performed on monthly balance sheet captions for the period January 2019 to December 2021.

In some cases our scope has been limited as a result of information not being available, namely:

- FTE and costs by department;
- Staff costs split by wages, bonus, NI, pensions;
- Central general overheads breakdown

For the avoidance of doubt, we have not undertaken any work in respect of any other associated companies, joint ventures or related parties.

Our report is provided solely for the benefit of parties referred to in our engagement letter and must not be quoted, copied or referenced to or distributed, in whole or in part, without prior written consent. We will not accept responsibility to any other party to whom our report may be shown or who may acquire a copy of our report.

Access to management



None



Limited



Good

During the course of our work our main points of contact have been the Management of Target, represented by:

- Founder & Brand Director
- COO
- Finance Manager
- Customer Director
- Trading Director
- Production Director
- Design Director

We attended a meeting with Management on [date], and have had regular follow-up calls with Management and communication through email.

Overall, we have had good access to Management, who have been helpful and put a significant amount of time and effort into this due diligence process by responding to our questions and requests in a timely manner.

Access to information



Low



Medium



High

The sources of information used are noted, wherever possible, in the report. We have not sought to establish the reliability of these sources by reference to evidence independent of Management. We have, however, reviewed the information produced and have satisfied ourselves, so far as possible, that the information presented is consistent with other information obtained by us during the course of the work undertaken to prepare this report.

The findings presented in this report are based on certain key sources of information as follows:

- Management accounts
- Specific Management information provided in relation to Q&A

We have used raw transactional data to perform some analysis e.g. product level (including ASP) and regional analysis. We have used an analysis tool to evaluate this data. This tool has an error tolerance level of 4% which means that the data will not exactly tie to the management accounts. A reconciliation between the transactional level data and the management accounts is included as an **Appendix**.

Scope of work (1/8)

Area	Description	Status	Comment
Definitions	The following key terms have been used in this scope: — Business: Infinity — Historical Period: Three years ended 31 January 2021 ('FY19', 'FY20' and 'FY21') and eight months ended 26 September 2021 ('YTD22') — Current period: The year ending 30 January 2022 (comprising 8 months of actuals and 4 months of expected results)('FY22 Outturn') — Historical Dates: 26 January 2020, 31 January 2021 and 26 September 2021 — Latest balance sheet date: 26 September 2021 — Current year: The year ending 30 January 2022 (comprising 8 months of actuals and 4 months of expected results)('FY22 Outturn') — Forecast Period: Three years ending 26 January 2025 (FY23, FY24 and FY25)		
Executive summary and business overview	• Comment on the history and development of the business including: — A summary of the evolution of the business and key events impacting on the financial results; — Overview of the key products, channels and territories in which the business operates; — Principal operating activities and locations, a description of the business and the evolution of its boutiques and concessions; — Corporate/organisational/operational structure, including the existing debt/equity structure. • Summarise the key financials and key performance indicators for the Historical, Outturn and Forecast Periods. • Summarise key findings and conclusions from our work.	✓	• Completed

Scope of work (2/8)

Area	Description	Status	Comment
Historical trading performance	Overview - Summarise and comment on the annual trading results of the Business for the Historical Period to include both sales and EBITDA bridges to highlight key drivers of historical growth. - Summarise and comment on the annual KPIs commonly used within the business for the Historical Period - Summarise and comment on the Business's seasonality profile of sales and EBITDA for the Historical Period - Comment on the historical trend in gross margin and the key factors underlying historical performance.	✓	• Completed
	Revenue and margin drivers (overall) - Summarise and comment on sales, margin and where relevant contribution for Historical Period and consider key drivers of historical performance by channel (i.e. website, boutiques and concessions), product and geography. - Summarise and comment on the seasonality profile of revenue and gross profit for the Historical Period. - Summarise and comment on the evolution of gross to net deductions (e.g. refunds, discounts, promotions) and the resultant impact on net revenue/gross margin over the Historical Period. - Summarise and comment on revenue generated from “offline” and other income (e.g. rebates, carriage) over the Historical Period		

Scope of work (3/8)

Area	Description	Status	Comment
Historical trading performance (continued)	Online Analyse and comment on key revenue KPIs and drivers, considering the below with, as appropriate, specific analysis in respect of the “Covid-19 cohort”: Evolution of customer base and buying patterns, split between new and existing (repeat, reactivated, lapsed) customers considering order frequency, AOV and ASP. Active customer retention (number and £), split by appropriate cohort (vintage, demographic, geography). Detailed trend analysis of LTV, split by suitable cohort. Key drivers of LTV/CAC trend (see below for further scope items in respect of CAC). Website traffic, source of traffic and conversion. Summarise and comment on the development of the customer base over the historical period, including customer acquisition, retention, churn and lifetime value to the extent information is available, particularly on the Covid-19 cohort Boutiques Summarise the performance of the boutique portfolio and discuss with management the reasons for significant changes over the historical period. Identify and comment on the boutiques with outlier performance. Discuss with management the reasons for this and action plans to resolve underperforming boutiques. Concessions Summarise and comment on sales, margin and where relevant contribution by concession partner over the historical period. Summaries the terms of trade with the concessions partners.	✓	Completed

Scope of work (4/8)

Area	Description	Status	Comment
Historical trading performance (continued)	Cost base Analyse the cost base of the business highlighting key components of: • cost of sales including cost of goods sold, freight, warehousing, packaging, postage, retro rebates/supplier contributions; • boutique related costs; • Operating and central overheads by major category (such as warehousing, distribution, marketing, customer services), highlighting the fixed and variable elements and where significant investment has been made or cost savings implemented Comment on key drivers of costs and trends identified. Summarise key suppliers by value/volume of purchases and product type for the historical period and following discussions with management comment on significant changes in supplier base, significant supply contracts including the length of relationship and key contract terms. Comment on the level of FX exposure in the business and how the business manages the risk. Summarise and commentary upon key customer acquisition cost drivers in terms of: • Marketing spend by channel e.g. PPC, yy, Social media A, yy etc and Cost Per Registration. • Analysis of CAC trends, split by marketing channel if the data permits. Analyse the number of employees and cost per head by function, commenting on bonus and commission arrangements. Enquire into the existence and impact of significant non-arm's length or related party transactions and consider the impact of such transactions on the reported results.	✓	• Completed

Scope of work (5/8)

Area	Description	Status	Comment
Underlying earnings and run rate	- Summarise and comment on the underlying earnings of the business (EBITDA) in the Historical Period taking into account the impact of any one-off, exceptional or non-recurring items, as identified by Management or by us during the course of our work, including any changes or inconsistencies of accounting policies and transactions entered into outside of normal commercial terms. - Analyse and comment on items reported below EBITDA during the Historical Period	✓	Completed
Current trading and forecast outturn	- Analyse, compare and comment on the trading performance in YTD22 against prior year and budget. - Summarise and comment on the impact of Covid-19 on YTD22 results including actions management has taken in respect of Covid-19 and management's forecast impact for YTG22. - Analyse and comment on the key trend of the rolling LTM revenue and EBITDA. - Analyse and comment on the FY22 outturn with reference to gap to go analysis compared to FY21.	✓	Completed
Net assets and capital investment	- Summarise the Business' balance sheets as at the Historical Dates, commenting on key balance sheet captions and significant movements. - Summarise fixed assets as at the Historical Dates and comment on significant changes and trends for the Historical Period. - Summarise capex spend over the Historical Period, and comment on the extent to which the spend is maintenance v expansionary. - Present an overview of significant operating and finance lease contracts as at the Latest Balance Sheet Date and comment on principal conditions.	✓	Completed

Scope of work (6/8)

Area	Description	Status	Comment
Working capital and net debt	- Summarise and comment on typical working capital terms and compare to historical debtor, creditor and stock days. - Analyse the monthly working capital of the business over the Historical Period. Comment on Management's view of working capital normalisation adjustments required and the average, maximum and minimum level of working capital over the Historical Period noting unusual trends and distortions. - Summarise and comment on the basis of stock valuation and provisioning (for obsolescence and stock loss). - Analyse and comment on the stock ageing profile and mix profile as at the Historical Dates for evidence as to the existence and extent of potentially obsolete stock. - Summarise and comment on the debtor ageing profile, the level of bad debt provisions and the historical levels of bad debt write offs. - Analyse the nature and composition of trade creditors, highlighting key factors such as flexibility of payment terms and credit limits. - Summarise and comment on the composition of other debtors, prepayments and accrued income at the Historical Dates, highlighting unusual / one off items. - Summarise and comment on other creditors, accruals and deferred income at the Historical Dates, highlighting unusual / one off items. - Summarise the returns provision and analyse the returns history over the Historical Period. - Summarise balances with related parties as at the Latest Balance Sheet Date. - Consider whether elements of working capital have the nature of, and may be reclassified as, net debt and, if so, summarise the potential impact of these adjustments on working capital and net debt at the Latest Balance Sheet Date.	✓	Completed

Scope of work (7/8)

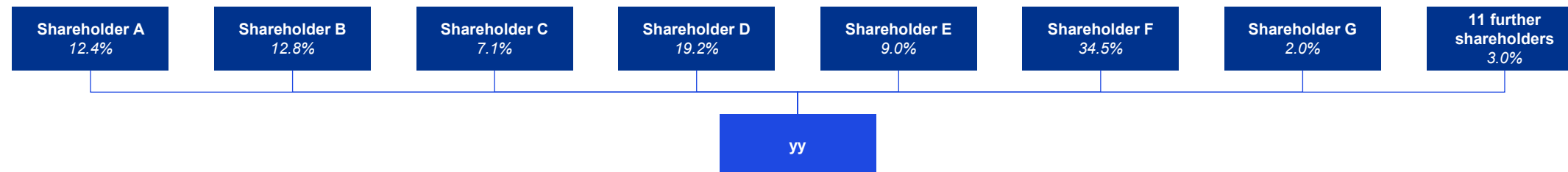
Area	Description	Status	Comment
Working capital and net debt (continued)	- Summarise and comment on the key elements of net debt including terms of funding facilities. - Summarise and comment on the net debt position as at the Latest Balance Sheet Date and comment on potential adjustments to net debt identified during the course of our work. - Based on discussions with Management, provide details of any off-balance sheet items including outstanding insurance claims, litigation (current, pending or threatened) and other potential obligations or contingent liabilities. For items noted, discuss with Management their view of the likely amount due and the probability of the various outcomes.	✓	Completed
Cash flows	- Summarise annual cash flows for the Historical Period. Comment on operating and free cash flow conversion, working capital movements, historical capital expenditure and other cash flows. - Analyse intra-month cash flows for the three month period ending on the Latest Balance Sheet date and comment on the extent of intra-month funding requirements. - Analyse and summarise capital expenditure for the Historical Period, with a split between growth and maintenance capex.	✓	Completed
Projections	- Summarise and comment on the projections prepared by Management, presenting profit and loss accounts, balance sheets and cash flow statements for the Forecast Period. - Present revenue and EBITDA bridges for the Forecast Period, summarising the key drivers of growth. - Enquire about and describe the significant assumptions used by Management in developing the projections, e.g. in respect of revenue, cost base, and projected levels of working capital and capital expenditure. Compare the significant assumptions used to the historical results for those items. - Comment on and challenge the assumptions that Management considers to be its key assumptions.	✓	Completed

Scope of work (8/8)

Area	Description	Status	Comment
Projections (continued)	From enquiries of Management, summarise and comment on the budget setting process, highlighting the accuracy of the previous budgets for FY20 and FY21 compared to actual reported results to give an indication of Management's past experience in budgeting.	✓	Completed
Management control and governance	- Present and comment on the key accounting policies adopted by the business and their consistency of application over the Historical Period. - Present an overview of the information used by management to run the business: budgeting procedures; internal controls; and financial systems. - Summarise and comment on the basis of preparation of management accounts and discuss the key controls over this process. - Comment on the reconciliation between the statutory and management accounts for FY19 and FY20, explaining reconciling items and their impact on the underlying earnings of the business.	✓	Completed

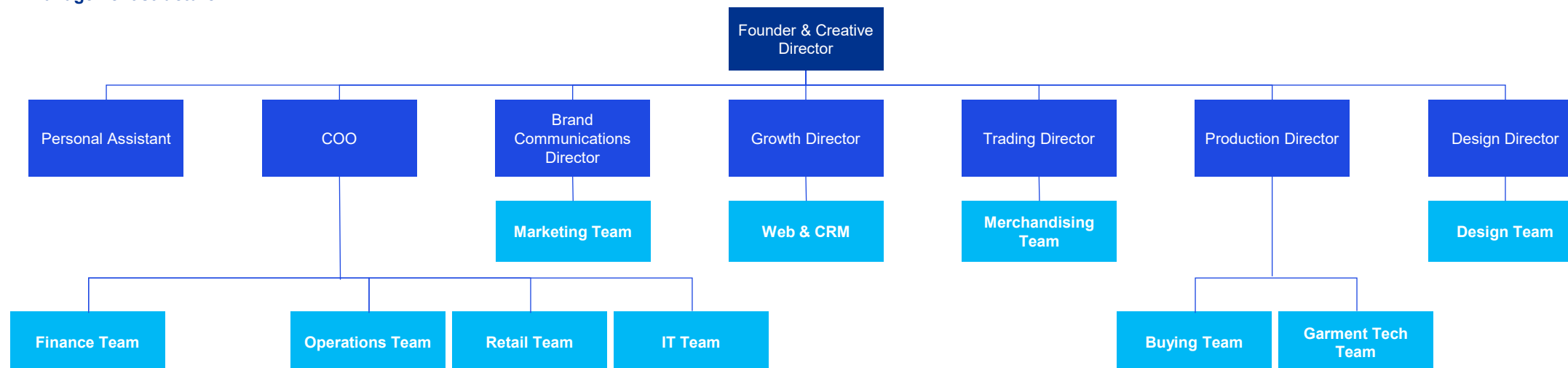
Group and management structure

Group structure



Source: Infinity – overview pack

Management structure



Source: 6.3.5.1_Head Office Organisational Chart June 2021

Glossary of terms and abbreviations (1/3)

Group and entity definitions

Group	yy
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Currencies and time periods

£'000	Pounds in thousands
FY19	Accounting period ended 27 January 2019
FY20	Accounting period ended 26 January 2020
FY21	Accounting period ended 31 January 2021
YTD	Year to date
YTG	Year to go
LTM22	Last twelve months to 26 September 2021

Other definitions

3PL	Third party logistics
5YP	Five year plan
act.	Activities
Adj.	Adjustments
AOV	Average Order Value
ASP	Average selling price
Avg.	Average
AW	Autumn / Winter season
B2B	Business Customers
B2C	Individual customers
CAC	Customer acquisition cost
CAD	Cash against documents
CAGR	Compounded annual growth rate
Capex	Capital expenditure
CDD	Commercial due diligence
CJRS	Coronavirus Job Retention Scheme
COGS	Cost of goods sold
Comm.	Commission

Glossary of terms and abbreviations (2/3)

Other definitions	
COO	Chief Operating Officer
CPA	Cost per acquisition
CPC	Cost per click
CRM	Customer relationship management
D2C	Direct to customer
DM	Direct mail
EBITDA	Earning before interest, tax, depreciation & amortization
EMI	Enterprise Management Incentive
EPOS	Electronic Point of Sale
ERP	Enterprise resource planning
ERS	Employment-related securities
EU	European union
EUR	Euro
FAR	Fixed Assets Register
FRS	Financial reporting standard
FX	Foreign exchange
GBP	Great British Pound
GP	Gross Profit

Other definitions	
HMRC	Her Majesty's Revenue and Customs
HR	Human Resource
IFRS	International Financial Reporting Standards
Infinity	Infinity
IT	Information Technology
KPIs	Key performance indicators
LFL	Like for like
LTM22	Last twelve months to 26 September 2021
LTV	Lifetime value
MA	Management Accounts
Management	The Infinity Management team
NBV	Net book value
NCV	Net customer value
NED	Non-executive director
NI	National Insurance
NPD	New product development
NWC	Net Working capital
OA	On account

Glossary of terms and abbreviations (3/3)

Other definitions	
Occ.	Occupancy
OPW	Off-payroll Working Rules
P&L	Profit & Loss
PAYE	Pay As You Earn
PILON	Payment in lieu of notice
PO	Purchase order
PPC	Pay per click
ppts	Percentage points
PR	Public Relations
PSA	PAYE Settlement Agreement
PSC	Personal Service Company
PSP	Payment Service Provider
R&D	Research and Development
ROAS	Return on ad spend
RoW	Rest of world
Section 431 elections	Section 431(1) of ITEPA 2003
SEO	Search engine optimisation
SKUs	Stock Keeping units



Other definitions	
SME	Small or medium sized enterprise
SS	Spring / Summer season
TUPE	Transfer of Undertaking (Protection of Employment)
xx	xx
xx	xx
USD	US dollars
VAT	Value Added Tax

Historical trading - online

Historical trading - retail

Cost base

Trading - other

Balance sheet breakdowns

Forecast assumptions

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